PIONEER GENERAL INSURANCE LIMITED

YOUR SECURITY FOR THE FUTURE

STATUTORY FINANCIAL CONDITION REPORT

PIONEER GENERAL INSURANCE LIMITED

As at 31 December 2024

Private & Confidential

MARCH 2025

FINAL REPORT

kenbright

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Management of the Insurer	25 March 2025

CLIENT

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OUR REF

Pioneer General Insurance Limited\Appointed Actuary\Financial Condition Report\2024\Reports\Pioneer General FCR 2024 – Final Report – (250325)

DOCUMENT PURPOSE

Submission to the Insurance Regulatory Authority in Respect of the Statutory Financial Condition Report of the General Business as at 31 December 2024

DOCUMENT OWNERSHIP

The owner of this document is the Appointed Actuary of the Insurer

To protect the confidential and proprietary information included in this document, it may not be disclosed or provided to any third parties without the approval of Kenbright Actuarial and Financial Services Limited.

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STATEMENT BY THE APPOINTED ACTUARY

I, **Ezekiel Macharia Mburu** of **Kenbright Actuarial & Financial Services Limited, ACK Garden House, Block D, Ground Floor, Upperhill, 1st Ngong Avenue, P.O. Box 28281 – 00200 Nairobi, Kenya**, confirm that I am an Actuary duly qualified in terms of Section 2 of the Insurance Act.

I am a Fellow of The Actuarial Society of Kenya (TASK) and the Institute and Faculty of Actuaries (IFoA).

I confirm that;

a) The Financial Condition Report has been prepared in accordance with the Insurance Regulatory Authority of Kenya (IRA) guideline to the Insurance Industry on the Actuarial Function (IRA/PG/13), Guideline on Valuation of Technical Liabilities for General Insurers (IRA/PG/16) and generally accepted actuarial principles.

b) The value placed upon the aggregate liabilities in respect of policies by the actuarial valuation is not less than the value which would have been placed upon the aggregate liabilities if it had been calculated as prescribed by the Authority.

c) I have also considered the minimum capital adequacy ratio ('CAR') for risk based capital as required in the Insurance (Amendment) Act, 2016 and confirm that it is above 100%. Pioneer General's CAR was **152%** as at 31 December 2024.

Ezekiel Macharia Mburu, FIA, C.Act, FeASK
Fellow of the Institute & Faculty of Actuaries (UK)
Fellow of the Actuarial Society of Kenya

25th March 2025

Date

Actuary

Nairobi
Kenya

1. EXECUTIVE SUMMARY

1.1. This is the eighth Financial Condition Report ("FCR") for General Business of Pioneer General Insurance Limited (Pioneer General).

1.2. This FCR has been prepared by Kenbright Actuarial and Financial Services ('KAFS') in our capacity as the **Appointed Actuary of Pioneer General**. The FCR has been prepared in accordance with the Insurance Regulatory Authority of Kenya (IRA) guideline to the insurance industry on the Actuarial Function; and generally accepted actuarial principles.

1.3. Pioneer General began operations in January 2017. It is an unlisted insurance company, licenced by the Insurance Regulatory Authority to carry out general insurance business in Kenya.

1.4. Pioneer's insurance service revenue increased by **15%** from **KES 1.6 billion** in year 2023 to **KES 1.9 billion** in year 2024.

1.5. The insurer's overall insurance service results increased by **214%** from **KES -29.0 million** in year 2023 to **KES 33.0 million** in year 2024.

1.6. For the year 2024, the insurer's market share stood at **0.9%** on an overall basis. This is a slight increase from the market share of **0.8%** in the year 2023.

1.7. Overall, insurance service expense ratio decreased to **100%** in year 2024 from **104%** recorded in year 2023.

1.8. The profit before income tax margin was at **9%** in 2024, an increase from **3%** from 2023

1.9. The company's overall management expenses in proportion to the NEP has decreased from **31%** in 2023 to **29%** in 2024.

1.10. The overall average cost per claim has been increasing throughout the reviewed period. With the average cost of claim increasing from **KES 387 K** in the year 2023 to **KES 412 K** in the year 2024.

1.11. The Motor classes accounted for **96%** and **94%** of the total number of claims reported in 2023 and 2024 respectively. This is to be expected as these classes make up the largest proportion of the insurer's business and typically experience higher frequencies.

1.12. Overall claims frequency over the analysis period ranges from **9%** to **12%**.

1.13. The overall net claim ratio of the general insurance business decreased from **66%** in 2023 to **62%** in 2024.

1.14. Investment performance for the company has remained relatively stable with an average observed return rate of **6%** over the past four years.

1.15. Based on the RBC requirements, the insurer had a Capital Adequacy Ratio (CAR) of **152%** as at 31 December 2024. The insurer has met the statutory Minimum Capital Requirement (MCR) but falls short of the Prescribed Capital Requirement (PCR) of 200%.

Key Recommendations

Expenses

1.16. While the overall management expenses have decreased from **31%** to **29%**, Marine class is noted to have significantly increased from **41%** to **167%.** This is due to the high increase in expenses compared to the decrease in the net earned premiums which is as a result of the insurer ceding more premiums for Marine class than they are earning.

1.17. The insurer should consider reviewing their reinsurance arrangements to ensure that they are not ceding out majority of their profits.

Capital Management and Capital Adequacy

1.18. The insurer's equity investments exceed the prescribed 10% limit, leading to overconcentration**.** A significant portion of this **(KES 875 million)** is deducted from capital solvency calculations, reducing the Capital Available under the Risk-Based Capital (RBC) framework.

1.19. The insurer should consider diversifying the asset mix to increase the capital available and strengthen its solvency position.

Previous FCR Recommendations & Extent Addressed by Insurer

1.21. Insurance regulations require that the Appointed Actuary reviews the extent to which the previous FCR recommendations have been implemented. The table below highlights the extent to which the recommendations have been addressed:

Pioneer Insurance Kenya Limited Past FCR Recommendations - 2023		
	2023 FCR Recommendations	**Extent Addressed as at 2024**
1	**Product Mix & Diversification** As at the valuation date the insurer stated that they have made efforts to diversify the business and reduce exposure in motor business. However, the proportion of the Motor book has continued to increase from 69% in 2022 to 81% in 2023. This remains much higher than the industry average, therefore we recommend continued efforts by the business to increase exposure to the more profitable non-Motor classes of business	The company has strived to diversify its business and reduce its exposure to motor business in line with actuary's recommendation. As at the end of 2024, the company's book comprised of 78% motor business and 22% non-motor.
2	**Expenses** The Fire Industrial, Marine, Motor Commercial, Motor Private and Workmen's Compensation classes of business are projected to result to an ultimate loss for the year 2023, considering their combined ratios of above 100%. We recommend closely monitoring the performance of these classes of business to ensure sustainability and profitability.	The management is conducting expense reviews and plans to reduce our expense ratio and plans to write more profitable businesses.
3	**Reinsurance Arrangements** The company's financial results show consistently lower profits on a net basis compared to the gross position, as the company is ceding away more of its profitable non-Motor business than the less profitable Motor business. The insurer currently has plans to review the appropriateness and cost effectiveness of existing reinsurance arrangements in the 2024 Financial Year.	At the end of the year 2023, an assessment of the adequacy of reinsurance strategies and arrangements proposed to cover of the insurer's underwriting risks was done. Given the company's plan for the year 2024, the treaty arrangements proposed were appropriate and the company realised a reinsurance profit.
4	**Reserving** From the test on the adequacy of previous reserves, the Case Estimates held as at December 2020, 2021, and 2022 are expected to be inadequate. The inadequacy is mainly driven by the Motor and Fire Industrial classes. As at the valuation date the management has stated that they have reviewed and adjusted the minimum case estimates from KES. 150,000 to KES. 180,000. Based on OCR utilization as at 2023, we will continue to monitor the case estimate pattern to ascertain this commitment.	The insurer has maintained their minimum case estimate at KES 180,000 and is closely monitoring.
5(i) **(ii)**	**Asset and Liability Management** We have noted that as at 2023 Pioneer invested KES **1.3 billion** in unquoted equities (Available for sale asset). This amount is equivalent to **45%** of its total assets and therefore is not in compliance with the statutory limits. We recommend that Pioneer review the amount invested in unquoted equities to be within the statutory limits. The insurer should also review its Investment Policy Statement to accommodate for investments in unquoted equities. Additionally, the insurer's proportion of liquid assets to total assets for the year 2023 decreased to **11%** from **17%** in 2023. Considering the short term nature of the business, Pioneer should consider diversifying its investments to improve liquidity and cater for insurance liabilities.	The proportion of the amounts invested in unquoted equities to total investment assets has reduced from 45% to 39%. Our proportion of liquid assets to total assets for the year 2024 increased to 17% from 11% in 2023. The insurer has indicated that they are currently reviewing their IPS to accommodate for investment in unquoted equities.

2. INTRODUCTION

Purpose

2.1. The preparation of this Financial Condition Report ('FCR') has been undertaken by the Appointed Actuary of Pioneer General Insurance Limited.

2.2. The assignment under consideration is **Preparation of a Financial Condition Report** *for* ***Pioneer General Insurance Limited*** as at **31 December 2024**.

2.3. This report has been commissioned by the Insurance Regulatory Authority as required by the third part of Part 3, Section II of the Fourth Schedule to the Insurance Act (as amended in the Kenya Gazette Supplement No. 88 of 9th June 2016).

2.4. The FCR has been prepared in accordance with the Insurance Regulatory Authority of Kenya (IRA) guideline to the insurance industry on the Actuarial Function and generally accepted actuarial principles.

Reliance and Limitations

2.5. This document is prepared exclusively for use by the Board & Senior Management of Pioneer General Insurance Limited ('Pioneer General') for statutory reporting purposes.

2.6. The Appointed Actuary shall not be held liable to any third party for the use of information, analysis and results presented in this document.

Scope

2.7. The Valuation Date is **31 December 2024**.

2.8. Whereas the Appointed Actuary of the insurer is responsible for valuation of actuarial liabilities, the ultimate responsibility of placing an appropriate valuation on the insurer's liabilities, after considering actuarial advice, rests with the Board and Senior Management.[1]

[1] Section 2.3 –Insurance Regulatory Authority: Guideline on Valuation of Technical Liabilities for General Insurers (IRA/PG/16)

3. BUSINESS OVERVIEW

Insurance Penetration

3.1. The table below compares insurance penetration in Kenya and other countries for the year 2023:

Insurance Penetration 2023			
	Life	General	Combined
Kenya	**1.10**	**1.30**	**2.40**
South Africa	9.20	2.30	11.50
UK	7.10	2.60	9.70
US	2.60	9.30	11.90
India	2.80	1.00	3.70
Malaysia	3.70	1.40	5.20
World	2.90	4.20	7.00

Source: Swiss Re Sigma No 3/2024

3.2. General insurance business penetration in the Kenyan market stood at **1.3%** compared to the global market insurance business penetration of **4.2%.**

3.3. General insurance business penetration in Kenya has continued to be higher than Life insurance business penetration at **1.3%** compared to **1.1%** for Life business in 2023.

Nature of the Business

3.4. Pioneer General Insurance Limited is an unlisted insurance company, licenced by the Insurance Regulatory Authority to carry out general insurance business in Kenya.

3.5. The company underwrites all classes of business except Aviation and Motor Commercial PSV classes.

Governance Structure and Key Stakeholders

3.6. Pioneer Insurance Holdings owns the majority stake **(49%)** in Pioneer General.

3.7. The shareholding structure for the company as at 2024 is highlighted below:

Pioneer General Insurance Company Shareholders and Directors				
Name	**Description**	**Nationality/ Location**	**Ordinary Shares**	**Stake**
Pioneer Insurance Holdings	Shareholder	Kenya	343,000	49%
Parkview Inv. Ltd	Shareholder	Dubai	120,000	17%
Nzuri Management and Development Limited	Shareholder	Kenya	120,000	17%
Afrisure Solutions Limited	Shareholder	Kenya	117,000	17%
Brigid Cherono	Director	Kenyan	-	0%
Michael Mure	Director	Kenyan	-	0%
Moses Kimani	Director	Kenyan	-	0%
Shiraz A. Jeraj	Director	Kenyan	-	0%
Wamuyu Catherine	Director	Kenyan	-	0%
Milcah Kinyua	Director	Kenyan	-	0%
Total Shares			**700,000**	**100%**

3.8. The IRA has in place Guidelines on Corporate Governance. These guidelines set out the minimum requirements for insurers operating in Kenya.

3.9. The key requirements for insurance company boards are as follows:

a) Ownership – at least a third of the company's shareholders to be Kenyan(s);

b) Board Composition:

(i) Board should be made up of at least 5 members;

(ii) At least a third of the Board members, including the Board Chairman are required to be independent professionals;

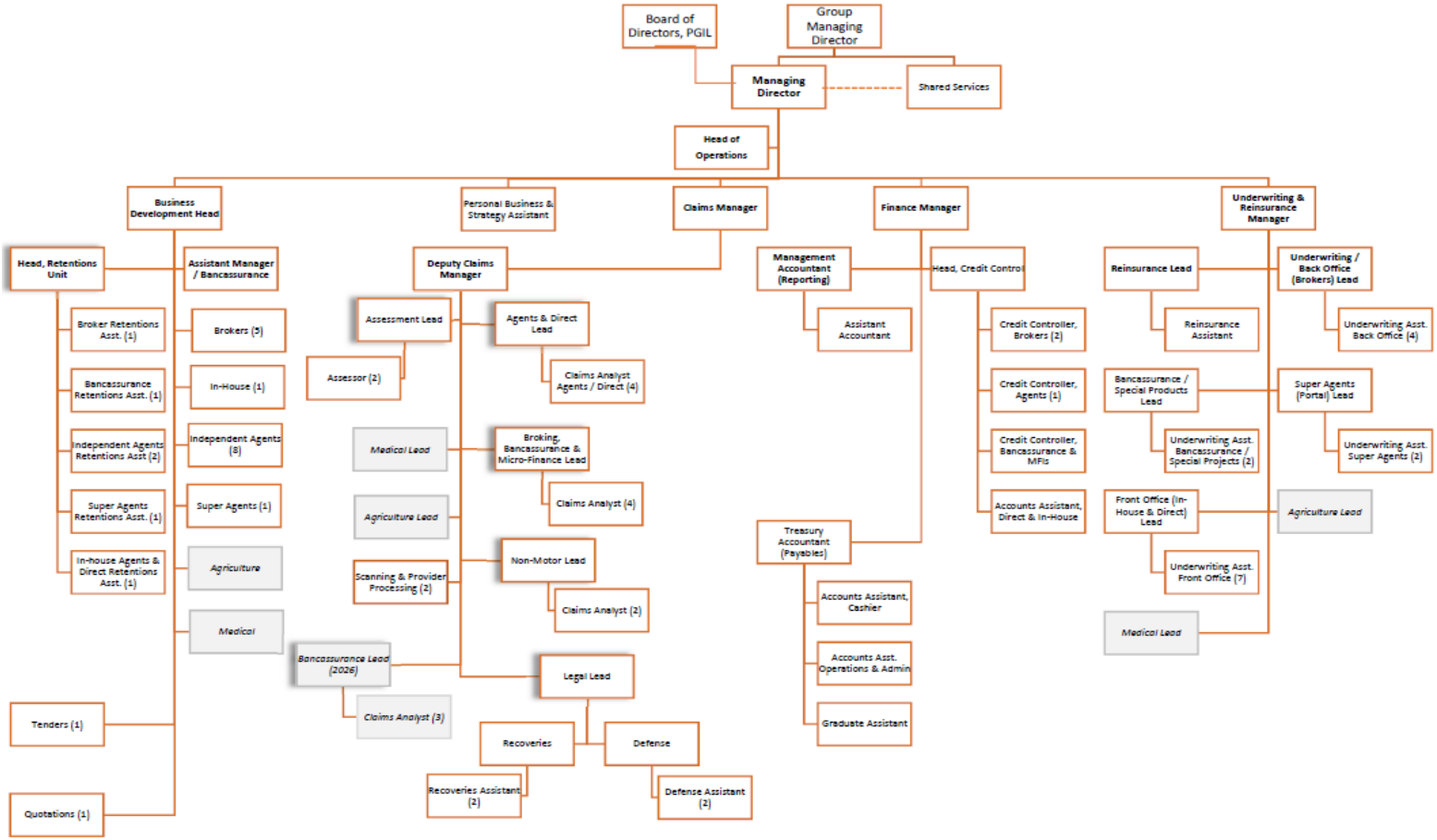
(iii) Minimum recommended Board Committees – Audit, Investment, Risk Management, Asset Liability Management, Policyholder Protection, Ethics and Nomination and Remuneration

c) Control Functions – The control functions (Actuarial, Risk Management and Audit) are required to have independent reporting access to the Board

3.10. Pioneer Holdings shareholding is 49% Kenyan.

Organisation Structure

3.11. The organisation structure for the company is as below:



Pioneer's Organogram

3.12. The company's organisation structure is adequate for its operations and is in line with the regulatory requirements.

3.13. The key personnel under Pioneer General as at the valuation date are highlighted in the table below:

Pioneer General Insurance Limited Management Team	
Title	**Name**
Managing Director	Ms. Milcah Kinyua
Underwriting Manager	Mr. Stephen Okeyo
Claims Manager	Mr. Gershom Mulwa Mutua
Business Development Manager	Mr. Chris G. Mbugua
Finance Manager	Ms. Flora Muthomi
Head of Human Resources & Administration	Ms. Margaret Mwashimba
IT Manager	Mr. Stephen Masinde
Head of Actuarial Function	Mr. Mawazo Ruwa

Products Sold by Pioneer General

3.14. A summary of the general insurance products currently offered by the insurer is appended to this FCR.

Count of Policies

3.15. The table below shows a breakdown of the number of policies underwritten in the years 2020 - 2024:

Pioneer General Insurance Limited Unique Policy Count					
	Underwriting Year				
Business Class	**2020**	**2021**	**2022**	**2023**	**2024**
Engineering	247	299	324	394	313
Fire Domestic	550	431	332	422	833
Fire Industrial	579	594	761	862	1,068
Liability	503	629	693	791	875
Marine	260	540	335	310	327
Miscellaneous	201	688	311	437	1464
Motor Commercial	3,478	5,462	6,454	7,611	10,830
Motor Private	14,306	21,996	22,849	23,305	24,851
Personal Accident	938	949	1,047	1,328	843
Theft	348	534	1,107	1,373	1,540
Workmen's Compensation	313	402	420	462	552
TOTAL	**21,723**	**32,524**	**34,633**	**37,295**	**43,496**

3.16. Pioneer General recorded a **17%** increase in total number of policies underwritten in 2024 compared to 2023.

3.17. The number of policies increased during the 2024 year for all classes of business except for Engineering and Personal Accident classes which recorded a drop in the policy count.

3.18. Since the start of its operations, the company has seen an increase in the overall number of policies underwritten over the years.

3.19. There was a total of **28,552** unique active policies as at the Valuation Date, **81%** of which were Motor policies.

New Products

Products Launched & Repackaged

3.21. Pioneer General launched the following products during the Valuation year.

a. Personal Liability Cover
b. Inbound Travel Medical Insurance

Products to be launched in 2025 (in pipeline)

3.22. Pioneer General does not plan to launch any new products in 2025.

Options and Guarantees

3.23. Options within policy terms give policyholders the option but not the obligation to convert or extend insurance cover on meeting specified terms and conditions. Guarantees offer policyholders guaranteed terms as per specified policy conditions.

3.24. It was noted that Pioneer General Insurance Limited sells general insurance products that come with options. For instance, a policy holder has the option to extend the term of cover and to convert Third Party Only motor insurance cover into a Comprehensive cover.

3.25. The insurer also sells insurance products with optional rider benefits. For instance, "Loss of Use" is an additional benefit (paid for separately by the policyholder) attached to Motor policies.

3.26. From the analysis of the policies in force, certain policies have a term of more than one year – these have been considered as annual policies that come with a guaranteed premium on renewal from a valuation perspective.

3.27. These policies are mainly from the Engineering and Fire Industrial classes of business. A separate reserve to cater for this guarantee was not set aside given the negligible premium volume of about **0.24%** of total business written in 2024. Instead, the need for any such reserve has been accounted for within the Premium Reserves set.

4. RECENT EXPERIENCE AND PROFITABILITY

Past Profitability

4.1. Pioneer's insurance service revenue increased by **15%** from **KES 1.6 billion** in year 2023 to **KES 1.8 billion** in year 2024.

4.2. The insurer's overall insurance service results increased by **214%** from **KES -29.0 million** in year 2023 to **KES 33.0 million** in year 2024.

4.3. The increase in insurance service result is mainly attributed to the growth in insurance service revenue relative to the insurance expenses recorded from year 2023 to year 2024.

4.4. The table below shows the underwriting performance of Pioneer General for years 2022-2024.

Pioneer General Insurance Company Limited Past Profitability (2022 -2024) - KES '000s					
	Y2022	Y2023	Y2024	3 years	CAGR (2 years)
Insurance service Revenue	1,584,635,224	1,554,705,306	1,789,238,415	4,928,578,945	6%
Insurance service expenses	1,526,684,514	1,618,174,307	1,790,518,759	4,935,377,580	8%
Reinsurance Service Result	(47,334,135)	34,493,071	34,253,485	21,412,421	
Insurance Service Result	**10,616,575**	**(28,975,930)**	**32,973,141**	**14,613,786**	**76%**
Investment Income	99,882,514	126,076,799	181,948,303	407,907,616	
Insurance finance expense					
Finance effect for incurred claims in P&L	(34,319,788)	(46,402,508)	(46,283,608)	(127,005,904)	
Investment Result	**65,562,726**	**79,674,291**	**135,664,695**	**280,901,712**	
Profit for the year before Tax	**76,179,301**	**50,698,361**	**168,637,835**	**295,515,497**	

Ratios			
Insurance service expense ratio	96%	104%	100%
Profit before income tax margin	5%	3%	9%

4.5. The insurer has achieved growth in insurance revenue from year 2023 to year 2024. From 2022-2024, the insurance revenue for Pioneer grew by a Compounded Annual Growth Rate (CAGR) of **6%**.

4.6. The insurance service expenses for Pioneer increased by **11%** from **KES 1.6 billion** in the year 2023 to **KES 1.8 billion** in year 2024.

4.7. Total investment income is noted to have increased by **44%, from KES 126.1 million** to **KES 181.9 million**, contributing to the higher profits recorded during the year.

4.8. Overall, insurance service expense ratio decreased to **100%** in year 2024 from **104%** recorded in year 2023.

4.9. The profit before income tax margin was at **9%** in 2024, an increase from **3%** in 2023.

Comments on Insurer's 2025 Plans

4.10. The insurer's budget, achievement under **IFRS 4** is appended in the appendix. We recommend the insurer have in place IFRS 17 financials forward projections for year 2025 to 2027.

4.11. The insurer's plan for 2025 targets a **57%** growth in the GWP relative to the actual position in 2024, with an underwriting loss of **KES 0.2 million**.

Track Record – Achievement of Premium Budget

4.12. The table below shows the insurer's budget achievement track record as well as plans for 2025.

Pioneer General Insurance Limited Track-record in Budget Achievements - KES '000							
	2019	2020	2021	2022	2023	2024	2025
FCR 2018	**857,500**	**1,064,000**					
FCR 2019	860,493	**1,064,000**	**1,209,379**				
FCR 2020	860,493	883,816	**1,209,379**	**1,644,293**			
FCR 2021	860,493	883,816	1,403,558	**1,644,293**	**2,002,266**		
FCR 2022	860,493	883,816	1,403,558	1,635,760	**2,002,266**	**2,110,000**	
FCR 2023	860,493	883,816	1,403,558	1,635,760	1,595,570	**2,110,000**	**3,015,000**
FCR 2024	860,493	883,816	1,403,558	1,635,760	1,595,570	1,917,255	**3,015,000**
Budget Achievement	***100%***	***83%***	***116%***	***99%***	***80%***	***91%***	
Actual Premium Growth		***3%***	***59%***	***17%***	***-2%***	***20%***	
Budgeted Premium Growth						***57%***	

KEY :

	One year plan as at the FCR Period
	Actual GWP
	Future year plans (year 2+) for the future period as at FCR period

4.13. The insurer's one-year budget achievement level was **116%** in 2021, **99%** in 2022, **80%** in 2023 and **91%** in 2024.

4.14. The insurer reviewed their year 2025 budgets. Based on the reviewed plan, the projected premium growth is **57%** for the year 2025.

Business Growth

4.15. The table below illustrates the year-on-year growth of Pioneer General business from 2020 – 2024 in comparison with the industry.

Pioneer General Insurance Limited Business Growth 2020 - 2024 (Amounts in KES. Millions)																				
	Pioneer General GWP					Industry GWP					Pioneer General Growth					Industry Growth				
Business Class	**2020**	**2021**	**2022**	**2023**	**2024**	**2020**	**2021**	**2022**	**2023**	***2024**	**2020**	**2021**	**2022**	**2023**	**2024**	**2020**	**2021**	**2022**	**2023**	**2024**
Aviation		2	- 0	-	-	2,963	3,094	3,565	4,558	5,622	0%	0%	-106%	-100%	0%	40%	4%	15%	28%	23%
Engineering	19	19	41	33	27	3,251	4,283	5,065	4,418	6,126	1%	2%	111%	-20%	-18%	-7%	32%	18%	-13%	39%
Fire Domestic	9	10	9	11	13	1,760	1,771	1,815	2,034	1,977	-24%	13%	-11%	22%	18%	5%	1%	3%	12%	-3%
Fire Industrial	66	58	78	76	92	10,818	12,950	16,829	19,599	23,157	0%	-11%	35%	-3%	21%	0%	20%	30%	16%	18%
Liability	35	42	34	40	43	3,124	3,358	3,723	4,658	5,056	-21%	19%	-18%	16%	8%	0%	7%	11%	25%	9%
Marine	7	34	12	12	49	3,063	3,638	4,055	4,351	5,141	-66%	383%	-63%	-4%	310%	-4%	19%	11%	7%	18%
Miscellaneous	46	90	19	5	26	3,847	4,142	3,698	6,871	6,195	-20%	97%	-79%	-72%	379%	3%	8%	-11%	86%	-10%
Motor Commercial	175	241	305	371	522	21,290	24,280	26,132	27,035	28,037	6%	38%	27%	22%	41%	-8%	14%	8%	3%	4%
Motor Private	455	635	819	916	981	23,439	24,627	27,855	30,390	31,378	17%	40%	29%	12%	7%	0%	5%	13%	9%	3%
Personal Accident	6	7	7	9	21	2,362	2,401	2,331	2,913	4,287	-81%	2%	10%	31%	124%	-28%	2%	-3%	25%	47%
Theft	16	17	15	17	33	3,845	3,992	4,120	4,805	5,076	1%	7%	-13%	16%	93%	0%	4%	3%	17%	6%
Workmen's Compensation	51	249	296	105	110	6,234	10,659	11,712	13,017	16,306	36%	391%	19%	-64%	4%	-2%	71%	10%	11%	25%
Medical	-	-	-	-	-	45,062	47,586	54,839	66,228	84,238	0%	0%	0%	0%	0%	6%	6%	15%	21%	27%
Total	**884**	**1,404**	**1,636**	**1,596**	**1,917**	**131,057**	**146,781**	**165,739**	**190,877**	**222,595**	**3%**	**59%**	**17%**	**-2%**	**20%**	**0%**	**12%**	**13%**	**15%**	**17%**

2024 based on projected Industry Results

4.16. In the 2024 financial year, the insurer's business increased by **20%** from a gross written premium of **KES 1.6 billion** in 2023 to **KES 1.9 billion** in 2024. This is compared to a projected industry growth of **17%** over the same period from **KES 191 billion** to **KES 223 billion.**

4.17. The greatest increase was recorded in the Marine, Miscellaneous and Personal Accident classes of business.

4.18. It is also worth noting that the insurer's premium income has been on an upward trend from **KES 884 million** in year 2020, to **KES. 1.9 billion** in 2024, except for 2023 which recorded a decrease of **-2%**

Market Share and Product Mix

4.19. A breakdown of Pioneer General's market share and product mix over the period from 2020 to 2024 is summarised in the table below:

Pioneer General Insurance Limited Market Share & Product Mix 2020- 2024															
	Pioneer General Market Share					Pioneer General Product Mix					Industry Product Mix				
Business Class	**2020**	**2021**	**2022**	**2023**	**2024**	**2020**	**2021**	**2022**	**2023**	**2024**	**2020**	**2021**	**2022**	**2023**	***2024**
Aviation	0.0%	0.1%	0.0%	0.0%	0.0%	0%	0%	0%	0%	0%	2%	2%	2%	2%	3%
Engineering	0.6%	0.5%	0.8%	0.7%	0.4%	2%	1%	3%	2%	1%	2%	3%	3%	2%	3%
Fire Domestic	0.5%	0.6%	0.5%	0.5%	0.6%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%
Fire Industrial	0.6%	0.4%	0.5%	0.4%	0.4%	7%	4%	5%	5%	5%	8%	9%	10%	10%	10%
Liability	1.1%	1.2%	0.9%	0.9%	0.9%	4%	3%	2%	3%	2%	2%	2%	2%	2%	2%
Marine	0.2%	0.9%	0.3%	0.3%	1.0%	1%	2%	1%	1%	3%	2%	2%	2%	2%	2%
Miscellaneous	1.2%	2.2%	0.5%	0.1%	0.4%	5%	6%	1%	0%	1%	3%	3%	2%	4%	3%
Motor Commercial	0.8%	1.0%	1.2%	1.4%	1.9%	20%	17%	19%	23%	27%	16%	17%	16%	14%	13%
Motor Private	1.9%	2.6%	2.9%	3.0%	3.1%	51%	45%	50%	57%	51%	18%	17%	17%	16%	14%
Personal Accident	0.3%	0.3%	0.3%	0.3%	0.5%	1%	0%	0%	1%	1%	2%	2%	1%	2%	2%
Theft	0.4%	0.4%	0.4%	0.4%	0.6%	2%	1%	1%	1%	2%	3%	3%	2%	3%	2%
Workmen's Compensation	0.8%	2.3%	2.5%	0.8%	0.7%	6%	18%	18%	7%	6%	5%	7%	7%	7%	7%
Medical	0.0%	0.0%	0.0%	0.0%	0.0%	0%	0%	0%	0%	0%	34%	32%	33%	35%	38%
Total	**0.7%**	**1.0%**	**1.0%**	**0.8%**	**0.9%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**

Based on Projected Industry Results

4.20. For the year 2024, the insurer's market share stood at **0.9%** on an overall basis. This is a slight increase from the market share of **0.8%** in the year 2023.

4.21. The lead classes for the insurer by premium income are the motor classes which made up **78%** of the total business. This is a decrease from **81%** in 2023.

4.22. Motor insurance business is projected to have made up **27%** of the total insurance industry in Kenya in the year 2024, a decrease from **30%** in the year 2023.

Exposure

4.23. This section looks at an analysis of the claims experience of Pioneer General's insurance business over the past five years (2020 -2024) on a class-wise basis.

Count of Policies

4.24. The table below shows a breakdown of the number of policies underwritten in the years 2020 - 2024:

Pioneer General Insurance Limited Unique Policy Count					
	Underwriting Year				
Business Class	**2020**	**2021**	**2022**	**2023**	**2024**
Engineering	247	299	324	394	313
Fire Domestic	550	431	332	422	833
Fire Industrial	579	594	761	862	1,068
Liability	503	629	693	791	875
Marine	260	540	335	310	327
Miscellaneous	201	688	311	437	1464
Motor Commercial	3,478	5,462	6,454	7,611	10,830
Motor Private	14,306	21,996	22,849	23,305	24,851
Personal Accident	938	949	1,047	1,328	843
Theft	348	534	1,107	1,373	1,540
Workmen's Compensation	313	402	420	462	552
TOTAL	**21,723**	**32,524**	**34,633**	**37,295**	**43,496**

4.25. Since beginning operations, the company has seen an increase in the overall number of policies underwritten.

4.26. Pioneer General recorded an increase of **17%** in the total number of policies underwritten in 2024 compared to 2023. This growth was mainly driven by the increase the Motor Commercial and Motor Private classes of business.

4.27. There was a total of **28,552** unique active policies as at the Valuation Date, **81%** of which were Motor insurance policies.

Claims Analysis

4.28. This analysis is based on the claims reported data as provided by the company's Management i.e., both Outstanding Claims and Paid Claims have been considered.

Claim Severity

4.29. The table below shows the average incurred claim amounts for the period 2020 - 2024. The analysis is based on loss years.

Pioneer General Insurance Limited Average Gross Reported Claims as at 31 December 2024 (KES '000)									
	Loss Year					*Change*			
Business Class	**2020**	**2021**	**2022**	**2023**	**2024**	**2021**	**2022**	**2023**	**2024**
Aviation	-	6,090	-	-	-	0%	-100%	0%	0%
Engineering	517	56	465	881	457	*-89%*	731%	90%	-48%
Fire Domestic	24	35	46	68	63	*44%*	31%	47%	-6%
Fire Industrial	307	552	2,387	534	6,800	*80%*	332%	-78%	1174%
Liability	499	735	1,433	1,758	1,261	*47%*	95%	23%	-28%
Marine	-	-	1,747	549	2,261	*0%*	0%	-69%	312%
Miscellaneous	209	57	125	91	462	*-73%*	119%	-27%	405%
Motor Commercial	341	365	399	363	328	*7%*	9%	-9%	-10%
Motor Private	218	230	266	286	275	*5%*	16%	7%	-4%
Personal Accident	298	199	812	95	184	*-33%*	309%	-88%	94%
Theft	-	287	207	107	118	*0%*	-28%	-48%	10%
Workmen's Compensation	272	3,683	4,716	5,636	4,145	*1255%*	28%	20%	-26%
Overall	**238**	**302**	**345**	**387**	**412**	***27%***	***14%***	***12%***	***6%***

4.30. The overall average cost per claim has been increasing throughout the reviewed period. With the average cost of claim increasing from **KES 387 K** in the year 2023 to **KES 412 K** in the year 2024.

4.31. Overall, the number of claims reported increased by **6%** in year 2024, from year 2023. The class that recorded significant increase in the average size of reported claims was Fire Industrial with a **1174%** increase.

4.32. Generally, high volatility in the average cost of claims reported within various classes is likely to continue, as attributable to the fact that the company's business portfolio is still relatively young, and the number of non-Motor claims is still low.

Claim Frequencies

4.34. The table below shows the count of claims incurred within the loss years 2020 - 2024.

Pioneer General Insurance Limited Reported Claims Count as at 31 December 2024										
	Loss Year					*Change*				
Business Class	2020	2021	2022	2023	2024	2020	2021	2022	2023	2024
Aviation	0	1	0	0	0	0%	0%	-100%	0%	0%
Engineering	9	17	8	3	6	*125%*	*89%*	-53%	-63%	100%
Fire Domestic	26	28	17	24	30	*8%*	*8%*	-39%	41%	25%
Fire Industrial	33	27	18	10	22	*725%*	*-18%*	-33%	-44%	120%
Liability	1	9	8	4	12	*-83%*	*800%*	-11%	-50%	200%
Marine	-	-	2	2	2	*-100%*	*0%*	0%	0%	0%
Miscellaneous	9	13	11	11	7	*125%*	*44%*	-15%	0%	-36%
Motor Commercial	383	563	624	750	953	*3%*	*47%*	11%	20%	27%
Motor Private	1,965	2,473	2,592	2,437	2,430	*41%*	*26%*	5%	-6%	0%
Personal Accident	3	7	2	24	17	*-75%*	*133%*	-71%	1100%	-29%
Theft	-	3	5	17	42	*-100%*	*0%*	67%	240%	147%
Workmen's Compensation	19	42	61	55	76	*0%*	*121%*	45%	-10%	38%
Overall	**2,448**	**3,182**	**3,348**	**3,337**	**3,597**	***33%***	***30%***	***5%***	***0%***	***8%***

4.35. The Motor classes accounted for **96%** and **94%** of the total number of claims reported in 2023 and 2024 respectively. This is as expected since these classes make up the largest proportion of the insurer's business and typically experience higher frequencies.

4.36. All classes of business recorded an increase in the number of claims, except Miscellaneous and Personal Accident classes of business.

4.37. The table below shows the claim frequency for the period 2020 – 2024.

Pioneer General Insurance Limited Claim Frequency Experience					
	Loss years				
Business Class	**2020**	**2021**	**2022**	**2023**	**2024**
Aviation	0%	48%	0%	0%	0%
Engineering	3%	6%	2%	2%	2%
Fire Domestic	5%	5%	4%	8%	5%
Fire Industrial	6%	4%	3%	2%	2%
Liability	0%	2%	1%	2%	1%
Marine	0%	0%	2%	2%	2%
Miscellaneous	5%	3%	2%	2%	1%
Motor Commercial	10%	13%	10%	14%	11%
Motor Private	13%	13%	11%	11%	10%
Personal Accident	0%	1%	0%	2%	2%
Theft	0%	1%	1%	6%	6%
Workmen's Compensation	6%	11%	13%	18%	16%
Overall	**11%**	**12%**	**9%**	**11%**	**10%**

4.38. The claims frequencies per class of business were determined based on the actual exposures during each loss year.

4.39. Overall claims frequency over the analysis period ranges from **9%** to **12%**.

4.40. The most notable decrease in claim frequency rates was noted for Motor Commercial class of business.

Expense Ratios

4.41. The company's overall management expenses in proportion to the NEP has decreased from **31%** in 2023 to **29%** in 2024.

4.42. This is mainly attributable to the lower growth in the absolute value of management expenses incurred compared to the growth in the earned premiums.

4.43. The expense ratio was derived by comparing actual management expenses to earned premium.

Formula: Expense Ratio = Management Expenses (excluding commissions) /Net Earned Premium

Pioneer General Insurance Limited Management Expense Ratios (2020 - 2024)					
Class	**2020**	**2021**	**2022**	**2023**	**2024**
Engineering	63%	36%	59%	40%	31%
Fire Domestic	25%	34%	35%	32%	33%
Fire Industrial	146%	74%	95%	88%	67%
Liability	30%	27%	25%	34%	35%
Marine	23%	48%	30%	41%	167%
Miscellaneous	647%	206%	37%	60%	44%
Motor Commercial	35%	27%	23%	29%	28%
Motor Private	31%	26%	24%	29%	25%
Personal Accident	16%	-69%	25%	36%	39%
Theft	30%	27%	32%	37%	43%
Workmen's Compensation	52%	33%	27%	38%	55%
Total	**37%**	**31%**	**26%**	**31%**	**29%**

Expenses Allocation

4.44. Pioneer General allocates expenses in proportion to the Gross Written Premium for each class of business. The Motor classes have had the highest expense allocation over the five-year period.

4.45. The table below shows the proportionate allocation of expenses applied by the company over the last five years.

Pioneer General Insurance Limited Management Expense Allocation Proportions					
Class	**2020**	**2021**	**2022**	**2023**	**2024**
Engineering	2%	1%	3%	2%	1%
Fire Domestic	1%	1%	1%	1%	1%
Fire Industrial	7%	4%	5%	5%	5%
Liability	4%	3%	2%	3%	2%
Marine	1%	2%	1%	1%	3%
Miscellaneous	5%	6%	1%	0%	1%
Motor Commercial	20%	17%	19%	23%	27%
Motor Private	51%	45%	50%	57%	51%
Personal Accident	1%	0%	0%	1%	1%
Theft	2%	1%	1%	1%	2%
Workmen's Compensation	6%	18%	18%	7%	6%
Total	**100%**	**100%**	**100%**	**100%**	**100%**

Long-Term General Insurance Business

4.46. The insurer wrote some long-term general insurance business (policies with terms greater than 1 year), which made up **0.24%** of the total premium written in 2024.

Large Claims

4.47. Most of the insurer's claims are of losses below **KES 5 million**, with only **41** claims above this out of a total of **15,931** unique claims reported between years 2020 and 2024.

4.48. Claims above **KES 10 million** were recorded in the Fire Industrial, Motor Commercial, Motor Private and Workmen's Compensation classes of business.

Investment Return

4.49. The results of our analysis of Pioneer General's investment return are provided in the Assets & Liability Management Section.

Tax

4.50. The yearly profit of the insurer is assumed to be taxed at **30%** on the annual revenue (Underwriting Profit, Investment Return & Other Income).

Recommendation

4.52. While the overall management expenses have decreased from **31%** to **29%**, Marine class is noted to have significantly increased from **41%** to **167%.** This is due to the high increase in expenses compared to the decrease in the net earned premiums which is as a result of the insurer ceding more premiums for Marine class than they are earning.

4.53. The insurer should consider reviewing their reinsurance arrangements to ensure that they are not ceding out majority of their profits.

5. INSURANCE LIABILITY VALUATION

Reserving Methodology

5.1. The methodology for reserving for General Insurance Business is set out in IRA Guideline on Valuation of Technical Liabilities for General Insurers (IRA/PG/16). The Reserves Valuation Report prescribed in this guideline is provided in SCHEDULE 1 of the Appendix of this report.

5.2. The Reserves Valuation Report describes the applied methodology, explanation of special terms and concepts, as well as the Appointed Actuary's opinion on the results.

5.3. This section gives a summary of the Valuation results; the details are contained in the actuarial valuation report. General Insurance Reserves as at **31 December 2024**.

Comments on Valuation Data

5.4. The data provided was sufficient and acceptable for use, and there was, therefore, no requirement to incorporate any external data for valuation.

Reserves as at 31 December 2024

5.5. The table below shows the results of the Reserves Valuation exercise conducted as at **31 December 2024**.

5.6. The minimum discounted gross insurance liabilities inclusive of risk adjustment required to be set aside by the Pioneer General Insurance Company Limited as at the Valuation Date are **KES 1,623,167,030** which are composed of:

a) Liability for Incurred Claims of **KES 1,206,374,611** and

b) Liability for Remaining Coverage of **KES 416,792,419**

5.7. The minimum discounted net insurance liabilities inclusive of risk adjustment required to be set aside by the General Business of Pioneer General Insurance Company Limited as at the Valuation Date are **KES 1,447,736,498** which are composed of:

a) Liability for Incurred Claims of **KES 1,072,951,594** and

b) Liability for Remaining Coverage of **KES 374,784,904**

FORM NO. INS57-lb
GENERAL BUSINESS OF PIONEER GENERAL INSURANCE LIMITED
SUMMARY OF DISCOUNTED RESERVES AND THE VALUATION OF POLICIES AS AT 31 DECEMBER 2024

Insurance Business	Gross Discounted Technical Reserve					Net Discounted Technical Reserve				
	Outstanding Claims Reported	Incurred But Not Reported (IBNR) Claims Reserves*	Liability for Remaining Coverage	Loss Component	Total Gross Technical Reserves	Outstanding Claims Reported	Incurred But Not Reported (IBNR) Claims Reserves*	Liability for Remaining Coverage	Loss Component	Total Net Technical Reserves
Aviation	-	-	64,660	-	64,660	-	-	64,660	-	64,660
Engineering	1,648,893	718,676	6,073,660	-	8,441,229	1,623,213	704,509	1,449,286	-	3,777,008
Fire Domestic	301,791	103,473	3,023,013	-	3,428,277	301,791	103,014	2,303,405	-	2,708,210
Fire Industrial	16,438,330	30,766,692	17,528,132	-	64,733,153	8,576,089	9,351,663	5,870,249	-	23,798,001
Liability	4,921,736	2,904,857	13,371,168	-	21,197,760	1,892,640	2,904,857	10,036,442	-	14,833,939
Marine	1,042,852	211,948	1,867,075	-	3,121,876	802,431	211,948	738,029	-	1,752,407
Miscellaneous	18,454	257,547	11,991,085	-	12,267,086	18,454	208,292	7,425,292	-	7,652,037
Motor Commercial	218,040,877	76,296,991	130,948,473	-	425,286,341	183,081,547	75,907,890	129,510,588	-	388,500,025
Motor Private	387,179,520	157,967,727	255,055,822	-	800,203,068	353,903,307	157,752,453	252,385,308	-	764,041,069
Personal Accident	1,157,428	1,728,196	3,312,058	-	6,197,682	510,991	1,080,283	2,475,267	-	4,066,541
Theft	2,184,940	1,170,277	6,155,598	-	9,510,815	2,116,663	1,059,523	4,458,731	-	7,634,917
Workmen's Compensation	20,765,865	280,547,543	(32,598,325)	-	268,715,083	11,053,012	259,787,025	(41,932,352)	-	228,907,685
Total Business	**653,700,685**	**552,673,926**	**416,792,419**	**-**	**1,623,167,030**	**563,880,137**	**509,071,456**	**374,784,904**	**-**	**1,447,736,498**

*Includes IBNER & Risk Margin

5.8. The recommended IBNR claims reserves as at the Valuation Date represented approximately **46%** of the liabilities for incurred claims as at that date.

6. HISTORICAL RESERVES ADEQUACY TESTS

6.1. In this section, we check the adequacy of the claim reserves held by Pioneer General as at the previous valuations. The checks have been based on emerging experience over the inter-valuation period.

6.2. We have performed an analysis to assess the actual utilisation of claims reserves (both Outstanding and IBNR claims) held by the company at the previous valuation as at the current Valuation Date.

6.3. This analysis has been performed on both a gross and net basis and has relied on all reported claims data, including the Outstanding Claims data provided.

Adequacy of 2023 Claims Reserves

Utilization of IBNR

Pioneer Insurance Company Limited - Utilisation Analysis for Gross Claims Incurred But Not Reported in '23 & Prior Years (IBNR as at Dec 2023) (in KES)						
Business Class	Gross IBNR as at Dec 2023	Incurred in '23 and Prior Years; Reported and Paid in '24	Incurred in '23 and Prior Years; Reported '24; Outstanding as at '24	Utilisation	Over/(Under) Estimation	Utilisation As Proportion of IBNR
Aviation	-	-	-	-	-	0%
Engineering	1,118,920	22,533	-	22,533	1,096,387	2%
Fire Domestic	95,143	50,918	-	50,918	44,225	54%
Fire industrial	3,585,248	789,856	-	789,856	2,795,392	22%
Liability	3,156,407	-	-	-	3,156,407	0%
Marine	235,931	-	-	-	235,931	0%
Miscellaneous	236,773	-	-	-	236,773	0%
Motor Commercial	37,361,144	10,038,829	8,452,125	18,490,954	18,870,190	49%
Motor Private	119,584,106	34,099,788	24,644,125	58,743,913	60,840,193	49%
Personal Accident	1,139,009	-	36,321	36,321	1,102,688	3%
Theft	659,570	113,998	217,201	331,199	328,371	50%
Workmen's Compensation	298,016,523	433,206	3,415,478	3,848,684	294,167,839	1%
Total	**465,188,773**	**45,549,128**	**36,765,250**	**82,314,378**	**382,874,395**	**18%**

6.4. Total claims reported in 2024 that were incurred in 2023 and prior years amounted to **KES 46 million**.

6.5. The total IBNR claims reserves held as at the end of 2023 are expected to be adequate with overall utilization of **18%** as at the Valuation Date.

Adequacy of Case Estimates

Pioneer Insurance Company Limited - Utilisation Analysis for Gross Claims Incurred and Reported in '23 & Prior Years (OCR as at Dec 2023) (in KES)						
Business Class	**Gross OCR as at Dec 2023**	**Paid in '24 in respect of claims O/S as at '23 & Prior**	**Claims O/S in '24; incurred and reported in '23 & Prior**	**Utilisation**	**Over/(Under) Estimation**	**Utilisation As Proportion of OCR**
Aviation	-	-	-	-	-	0%
Engineering	720,888	280,363	-	280,363	440,525	39%
Fire Domestic	1,053,592	720,964	-	720,964	332,628	68%
Fire industrial	22,502,285	40,404,304	-	40,404,304	(17,902,019)	180%
Liability	8,215,127	2,493,014	3,500,002	5,993,016	2,222,111	73%
Marine	3,277,913	69,365	792,104	861,469	2,416,444	26%
Miscellaneous	304,225	60,313	-	60,313	243,912	20%
Motor Commercial	203,464,447	127,908,574	127,960,353	255,868,927	(52,404,480)	126%
Motor Private	427,947,736	287,871,302	238,024,378	525,895,680	(97,947,944)	123%
Personal Accident	756,993	1,053,963	-	1,053,963	(296,970)	139%
Theft	829,305	1,306,529	-	1,306,529	(477,224)	158%
Workmen's Compensation	40,142,291	21,062,983	3,536,333	24,599,316	15,542,975	61%
Total	**709,214,802**	**483,231,674**	**373,813,170**	**857,044,844**	**(147,830,042)**	**121%**

6.6. As at the current Valuation Date, the utilization of the 2023 OCR is estimated at **KES 857 million** compared to **KES 709 million** held as reserves.

6.7. On a class wise basis, underestimation of the OCR held as at 31 December 2023 was recorded in Fire Industrial, Motor Commercial, Motor Private, Personal Accident and Theft classes of business.

6.8. Overall, the 2023 OCR was inadequate with an understatement of **KES 148 million** as at the current Valuation Date.

Adequacy of Total Gross Claims Reserves

Pioneer Insurance Company Limited Gross Utilisation Analysis as at '24 for Total Claims Reserves Held as at Dec 2023 (in KES)						
Business Class	**Total Claims Reserves as at Dec 2023**	**Paid in '24 for Claims Incurred in '23 & Prior**	**O/s Reported Claims as at '24 for '23 & Prior Year Claims**	**Utilisation**	**Over/(Under) Estimation**	**Utilisation As Proportion of Claims Reserves**
Aviation	-	-	-	-	-	0%
Engineering	1,839,808	302,896	-	302,896	1,536,912	16%
Fire Domestic	1,148,735	771,882	-	771,882	376,853	67%
Fire industrial	26,087,533	41,194,160	-	41,194,160	(15,106,627)	158%
Liability	11,371,534	2,493,014	3,500,002	5,993,016	5,378,518	53%
Marine	3,513,844	69,365	792,104	861,469	2,652,375	25%
Miscellaneous	540,998	60,313	-	60,313	480,685	11%
Motor Commercial	240,825,590	137,947,403	136,412,478	274,359,881	(33,534,291)	114%
Motor Private	547,531,842	321,971,090	262,668,503	584,639,593	(37,107,751)	107%
Personal Accident	1,896,002	1,053,963	36,321	1,090,284	805,718	58%
Theft	1,488,876	1,420,527	217,201	1,637,728	(148,852)	110%
Workmen's Compensation	338,158,814	21,496,189	6,951,811	28,448,000	309,710,814	8%
Total	**1,174,403,576**	**528,780,802**	**410,578,420**	**939,359,222**	**235,044,354**	**80%**

6.9. Overall, the total gross claims reserves held as at 31 December 2023 are expected to be adequate with total utilization of **80%** as at the Valuation Date.

6.10. On a class wise basis, the Fire Industrial, Motor Commercial, Motor Private and Theft classes of business showed underestimation in total claims reserves.

Adequacy of 2022 Claims Reserves

Utilization of IBNR

Pioneer Insurance Company Limited - Utilisation Analysis for Gross Claims Incurred But Not Reported in '22 & Prior Years (IBNR as at Dec 2022) (in KES)						
Business Class	**Gross IBNR as at Dec 2022**	**Incurred in '22 and Prior Years; Reported and Paid in ' '23 & '24**	**Incurred in '22 and Prior Years; Reported '23 & '24; Outstanding as at '24**	**Utilisation**	**Over/(Under) Estimation**	**Utilisation As Proportion of IBNR**
Aviation	-	-	-	-	-	0%
Engineering	1,073,936	368,767	-	368,767	705,169	34%
Fire Domestic	78,819	4,300	-	4,300	74,519	5%
Fire industrial	229,859	11,406,686	-	11,406,686	(11,176,827)	4962%
Liability	2,981,422	716,021	-	716,021	2,265,401	24%
Marine	232,034	-	-	-	232,034	0%
Miscellaneous	490,928	263,106	-	263,106	227,822	54%
Motor Commercial	20,413,397	12,648,644	13,245,700	25,894,344	(5,480,947)	127%
Motor Private	80,960,777	32,096,928	14,261,800	46,358,728	34,602,049	57%
Personal Accident	1,147,486	577,539	-	577,539	569,947	50%
Theft	546,582	61,600	-	61,600	484,982	11%
Workmen's Compensation	237,703,850	7,099,943	-	7,099,943	230,603,907	3%
Total	**345,859,090**	**65,243,534**	**27,507,500**	**92,751,034**	**253,108,056**	**27%**

6.11. Claims incurred in 2022 and prior loss years but reported in 2023 and 2024 amounted to **KES 65 million.**

6.12. IBNR claims reserves recommended as at the end of 2022 are expected to be adequate with overall utilization of **KES 93 million (27%**) as at the current Valuation Date.

Adequacy of Case Estimates

Pioneer Insurance Company Limited - Utilisation Analysis for Gross Claims Incurred and Reported in '22 & Prior Years (OCR as at Dec 2022) (in KES)						
Business Class	**Gross OCR as at Dec 2022**	**Paid in '23-'24 in respect of claims O/S as at '22 & Prior**	**Claims O/S in '24; incurred and reported in '22 & Prior**	**Utilisation**	**Over/(Under) Estimation**	**Utilisation As Proportion of OCR**
Aviation	-	-	-	-	-	0%
Engineering	1,704,262	107,170	-	107,170	1,597,092	6%
Fire Domestic	322,140	349,860	-	349,860	(27,720)	109%
Fire industrial	4,650,911	42,016,951	-	42,016,951	(37,366,040)	903%
Liability	11,344,674	7,777,742	1,500,002	9,277,744	2,066,930	82%
Marine	-	-	-	-	-	0%
Miscellaneous	493,834	494,421	-	494,421	(587)	100%
Motor Commercial	131,542,216	171,441,403	76,999,490	248,440,893	(116,898,677)	189%
Motor Private	305,231,389	331,517,380	158,967,443	490,484,823	(185,253,434)	161%
Personal Accident	877,031	737,531	-	737,531	139,500	84%
Theft	319,551	604,957	-	604,957	(285,406)	189%
Workmen's Compensation	23,706,748	55,065,796	2,183,704	57,249,500	(33,542,752)	241%
Total	**480,192,756**	**610,113,211**	**239,650,639**	**849,763,850**	**(369,571,094)**	**177%**

6.13. Utilization of the 2022 OCR stood at **KES 850 million** as at the current Valuation Date. This is compared to a reserve of **KES 480 million** held on that date.

6.14. Class wise, underestimation of the recommended OCR as at 31 December 2022 was noted in the Fire Domestic, Fire Industrial, Miscellaneous, Motor Commercial, Motor Private, Theft and Workmen's Compensation classes of business.

6.15. Overall, the 2022 OCR was understated by **77%** as at the current Valuation Date.

Adequacy of Total Gross Claims Reserves

Pioneer Insurance Company Limited Gross Utilisation Analysis as at '24 for Total Claims Reserves Held as at Dec 2022 (in KES)						
Business Class	**Total Claims Reserves as at Dec 2022**	**Paid in '23-'24 for Claims Incurred in '22 & Prior**	**O/s Reported Claims as at '24 for '22 & Prior Year Claims**	**Utilisation**	**Over/(Under) Estimation**	**Utilisation As Proportion of Claims Reserves**
Aviation	-	-	-	-	-	0%
Engineering	2,778,198	475,937	-	475,937	2,302,261	17%
Fire Domestic	400,959	354,160	-	354,160	46,799	88%
Fire industrial	4,880,770	53,423,637	-	53,423,637	(48,542,867)	1095%
Liability	14,326,096	8,493,763	1,500,002	9,993,765	4,332,331	70%
Marine	232,034	-	-	-	232,034	0%
Miscellaneous	984,762	757,527	-	757,527	227,235	77%
Motor Commercial	151,955,614	184,090,047	90,245,190	274,335,237	(122,379,623)	181%
Motor Private	386,192,166	363,614,308	173,229,243	536,843,551	(150,651,385)	139%
Personal Accident	2,024,517	1,315,070	-	1,315,070	709,447	65%
Theft	866,133	666,557	-	666,557	199,576	77%
Workmen's Compensation	261,410,598	62,165,739	2,183,704	64,349,443	197,061,155	25%
Total	**826,051,847**	**675,356,745**	**267,158,139**	**942,514,884**	**(116,463,037)**	**114%**

6.16. The total gross claims reserves held as at 31 December 2022 are expected to be inadequate by **KES 116 million (14%)** as at the current valuation date.

6.17. The classes that recorded inadequacy of reserves are Fire Industrial, Motor Commercial and Motor Private classes of business.

Adequacy of 2021 Claims Reserves

Utilization of IBNR

Pioneer Insurance Company Limited - Utilisation Analysis for Gross Claims Incurred But Not Reported in '21 & Prior Years (IBNR as at Dec 2021) (in KES)						
Business Class	**Gross IBNR as at Dec 2021**	**Incurred in '21 and Prior Years; Reported and Paid in '22 -'24**	**Incurred in '21 and Prior Years; Reported '22 - '24; Outstanding as at '24**	**Utilisation**	**Over/(Under) Estimation**	**Utilisation As Proportion of IBNR**
Aviation	-	-	-	-	-	0%
Engineering	493,011	1,043,884	-	1,043,884	(550,873)	212%
Fire Domestic	67,161	-	-	-	67,161	0%
Fire industrial	150,378	12,549,031	-	12,549,031	(12,398,653)	8345%
Liability	3,073,301	3,882,874	-	3,882,874	(809,573)	126%
Marine	375,344	-	-	-	375,344	0%
Miscellaneous	708,795	198,745	-	198,745	510,050	28%
Motor Commercial	15,451,530	20,075,071	14,610,000	34,685,071	(19,233,541)	224%
Motor Private	40,362,380	37,839,789	14,998,301	52,838,090	(12,475,710)	131%
Personal Accident	1,045,481	1,207,760	-	1,207,760	(162,279)	116%
Theft	781,609	46,845	-	46,845	734,764	6%
Workmen's Compensation	87,491,042	20,837,912	150,000	20,987,912	66,503,130	24%
Total	**150,000,032**	**97,681,911**	**29,758,301**	**127,440,212**	**22,559,820**	**85%**

6.18. Total claims incurred in 2021 and prior loss years but reported in 2022, 2023 and 2024 amounted to **KES 98 million**.

6.19. Overall, these reserves are expected to be adequate with utilization of **(85%)** as at the Valuation Date.

Adequacy of Case Estimates

Pioneer Insurance Company Limited - Utilisation Analysis for Gross Claims Incurred and Reported in '21 & Prior Years (OCR as at Dec 2021) (in KES)						
Business Class	**Gross OCR as at Dec 2021**	**Paid in '22-'24 in respect of claims O/S as at '21 & Prior**	**Claims O/S as at '24; incurred and reported in '21 & Prior**	**Utilisation**	**Over/(Under) Estimation**	**Utilisation As Proportion of OCR**
Aviation	7,500,000	6,090,024	-	6,090,024	1,409,976	81%
Engineering	721,100	459,236	-	459,236	261,864	64%
Fire Domestic	142,999	84,757	-	84,757	58,242	59%
Fire industrial	237,699	678,558	-	678,558	(440,859)	285%
Liability	1,752,001	1,309,300	-	1,309,300	442,701	75%
Marine	500,000	-	-	-	500,000	0%
Miscellaneous	360,152	389,477	-	389,477	(29,325)	108%
Motor Commercial	115,591,112	152,679,253	42,880,510	195,559,763	(79,968,651)	169%
Motor Private	269,933,453	345,834,898	95,253,180	441,088,078	(171,154,625)	163%
Personal Accident	230,000	137,000	-	137,000	93,000	60%
Theft	600,000	732,803	-	732,803	(132,803)	122%
Workmen's Compensation	9,390,877	11,852,040	-	11,852,040	(2,461,163)	126%
Total	**406,959,393**	**520,247,346**	**138,133,690**	**658,381,036**	**(251,421,643)**	**162%**

6.20. Total utilization of the 2021 OCR amounted to **KES 520 million** as at the current Valuation Date. This is compared to the recommended reserve of **KES 407 million** as at that date.

6.21. The Fire Industrial, Miscellaneous, Motor Commercial, Motor Private, Theft and Workmen's Compensation classes of business recorded underestimation of the OCR held as at the end of 2021.

6.22. Overall, the total 2021 OCR was understated by **62%** as at the current Valuation Date.

Adequacy of Total Gross Claims Reserves

Pioneer Insurance Company Limited Gross Utilisation Analysis as at '24 for Total Claims Reserves Held as at Dec 2021 (in KES)						
Business Class	**Total Claims Reserves as at Dec 2021**	**Paid in '22-'24 for Claims Incurred in '21 & Prior**	**O/s Reported Claims as at '24 for '21 & Prior Year Claims**	**Utilisation**	**Over/(Under) Estimation**	**Utilisation As Proportion of Claims Reserves**
Aviation	7,500,000	6,090,024	-	6,090,024	1,409,976	81%
Engineering	1,214,111	1,503,120	-	1,503,120	(289,009)	124%
Fire Domestic	210,160	84,757	-	84,757	125,403	40%
Fire industrial	388,077	13,227,589	-	13,227,589	(12,839,512)	3408%
Liability	4,825,302	5,192,174	-	5,192,174	(366,872)	108%
Marine	875,344	-	-	-	875,344	0%
Miscellaneous	1,068,947	588,222	-	588,222	480,725	55%
Motor Commercial	131,042,642	172,754,324	57,490,510	230,244,834	(99,202,192)	176%
Motor Private	310,295,833	383,674,687	110,251,481	493,926,168	(183,630,335)	159%
Personal Accident	1,275,481	1,344,760	-	1,344,760	(69,279)	105%
Theft	1,381,609	779,648	-	779,648	601,961	56%
Workmen's Compensation	96,881,919	32,689,952	150,000	32,839,952	64,041,967	34%
Total	**556,959,425**	**617,929,257**	**167,891,991**	**785,821,248**	**(228,861,823)**	**141%**

6.23. The total gross claims reserves held as at 31 December 2021 are expected to be inadequate with an understatement of **KES 229 million (41%)** as at the current valuation date.

6.24. The Engineering, Fire Industrial, Liability, Motor Private, Motor Commercial and Personal Accident classes of business recorded an underestimation of reserves as at the current Valuation Date.

7. PRICING AND PREMIUM ADEQUACY

Underwriting Policy & Pricing Strategy

7.1. Pioneer General has in place an underwriting manual that articulates the company's underwriting policies and spells out the procedures to be followed by staff while underwriting various policies.

7.2. The manual also sets out the authority levels for the underwriting processes to ensure that adequate controls are in place.

Class-wise Profitability Analysis

7.3. We assessed the past profitability of Pioneer General on a (clustered) class-wise basis. The table below gives a breakdown:

Pioneer General Insurance Limited Combined Net Ratios (2020 – 2024)					
Class	**2020**	**2021**	**2022**	**2023**	**2024**
Engineering	100%	54%	113%	56%	83%
Fire Domestic	43%	61%	61%	70%	75%
Fire Industrial	206%	52%	117%	129%	198%
Liability	44%	51%	86%	59%	109%
Marine	13%	56%	55%	103%	197%
Miscellaneous	702%	86%	122%	93%	69%
Motor Commercial	115%	108%	87%	109%	102%
Motor Private	112%	124%	104%	103%	101%
Personal Accident	-37%	120%	51%	68%	55%
Theft	48%	52%	49%	59%	92%
Workmen's Compensation	95%	99%	125%	199%	83%
Total	**106%**	**110%**	**103%**	**107%**	**102%**

7.4. Overall, the company's combined ratio has remained above 100% during the period under review (2020 -2024). There has been a decrease in the combined ratio in 2024 in comparison to 2023 attributable to increase in premium income.

7.5. On a class-wise basis, Fire Industrial, Liability and Marine classes of business recorded the highest increase in the combined ratios.

7.6. A five-year (2020-2024) analysis of the key ratios is provided in the tables below:

Pioneer General Insurance Limited 2020 Key Net Ratios Analysis			
Class	Loss Ratio	Commission Ratio	Expense Ratio
Engineering	26%	11%	63%
Fire Domestic	8%	10%	25%
Fire Industrial	42%	19%	146%
Liability	-4%	18%	30%
Marine	-21%	10%	23%
Miscellaneous	109%	-54%	647%
Motor Commercial	69%	11%	35%
Motor Private	71%	10%	31%
Personal Accident	-71%	18%	16%
Theft	-1%	19%	30%
Workmen's Compensation	53%	-10%	52%
Total	**59%**	**10%**	**37%**

Pioneer General Insurance Limited 2021 Key Net Ratios Analysis			
Class	Loss Ratio	Commission Ratio	Expense Ratio
Engineering	26%	-8%	36%
Fire Domestic	12%	14%	34%
Fire Industrial	3%	-25%	74%
Liability	4%	20%	27%
Marine	6%	2%	48%
Miscellaneous	10%	-130%	206%
Motor Commercial	71%	11%	27%
Motor Private	88%	10%	26%
Personal Accident	-43%	232%	-69%
Theft	5%	20%	27%
Workmen's Compensation	49%	17%	33%
Total	**70%**	**9%**	**31%**

Pioneer General Insurance Limited 2022 Key Net Ratios Analysis			
Class	Loss Ratio	Commission Ratio	Expense Ratio
Engineering	31%	23%	59%
Fire Domestic	10%	16%	35%
Fire Industrial	17%	5%	95%
Liability	41%	19%	25%
Marine	8%	17%	30%
Miscellaneous	4%	81%	37%
Motor Commercial	53%	10%	23%
Motor Private	70%	10%	24%
Personal Accident	9%	17%	25%
Theft	3%	14%	32%
Workmen's Compensation	79%	19%	27%
Total	**64%**	**12%**	**26%**

Pioneer General Insurance Limited 2023 Key Net Ratios Analysis			
Class	Loss Ratio	Commission Ratio	Expense Ratio
Engineering	6%	10%	40%
Fire Domestic	20%	18%	32%
Fire Industrial	23%	18%	88%
Liability	3%	22%	34%
Marine	41%	20%	41%
Miscellaneous	1%	32%	60%
Motor Commercial	69%	10%	29%
Motor Private	64%	10%	29%
Personal Accident	11%	21%	36%
Theft	6%	16%	37%
Workmen's Compensation	156%	5%	38%
Total	**66%**	**10%**	**31%**

Pioneer General Insurance Limited 2024 Key Net Ratios Analysis			
Class	**Loss Ratio**	**Commission Ratio**	**Expense Ratio**
Engineering	26%	26%	31%
Fire Domestic	21%	21%	33%
Fire Industrial	113%	17%	67%
Liability	54%	20%	35%
Marine	25%	5%	167%
Miscellaneous	7%	19%	44%
Motor Commercial	63%	11%	28%
Motor Private	66%	10%	25%
Personal Accident	-1%	17%	39%
Theft	30%	19%	43%
Workmen's Compensation	16%	12%	55%
Total	**62%**	**11%**	**29%**

7.7. The overall net claim ratio of the general insurance business decreased from **66%** in 2023 to **62%** in 2024.

Formula: Claim Ratio = Incurred claims (inclusive of outstanding claims & IBNR) / Earned Premium.

Rating Guidelines

7.8. The Underwriting Manual has specific rating factors per product line and sets out the key considerations before underwriting any risk as well as the minimum premium rates to be charged. Complicated risks are referred to the Underwriting Manager for approval.

8. ASSET AND LIABILITY MANAGEMENT

Approach to Asset Liability Management

8.1. Pioneer General has in place an Investment Policy that guides its investment decisions. The overall objective of the Policy is to maximize returns on assets with adequate considerations for liquidity and security while ensuring compliance with all statutory requirements.

Key Considerations

8.2. The investment Policy identifies the following as the key issues the company considers when making investment decisions:

a) Security – investments should aim to preserve capital

b) Liquidity – reasonable investment to avail funds for meeting short-term obligations

c) Return – investments should generate income while considering inherent risks

d) Risk and Diversification – assets to be held in a range of instruments to spread risk

Strategy

8.3. The company's Investment Strategy is to ensure liquidity always to support the core business of the company as well as meet other short-term obligations.

8.4. In addition, the assets should be invested to ensure that the capital charges as per the risk-based capital guideline are kept at a minimum.

8.5. The company's target investment return should be at least 2% above the annual inflation rate.

8.6. Eligible investment asset classes include:

a) Treasury bills and bonds

b) Bank deposits

c) Quoted shares

d) Commercial paper and corporate bonds

e) Secured mortgages and loans

f) Investment property

Asset Allocation

8.7. The Investment Policy sets the approved asset allocation for each asset class as below:

Asset Class	Strategic Allocation Limit	Tactical Allocation
Government Securities	42%	25% - 70%
Bank Deposits	30%	10% - 30%
Offshore	3%	0% - 5%
Property	25%	5% - 35%

Investment Performance

8.8. The historical investment return by asset class for Pioneer General over the last five years (2021 -2024) is as below:

Pioneer General Insurance Limited Investment Performance (2021 - 2024)								
	Investment Amount (in KES Millions)				Investment Return (in KES Millions)			
Asset Class	**2021**	**2022**	**2023**	**2024**	**2021**	**2022**	**2023**	**2024**
Investment Property	386	443	443	446	-	-	-	-
Equity Investments	-	-	1,292	1,250	-	-	-	-
Government securities	445	659	719	894	36	67	88	110
Deposits with financial institutions	252	179	120	221	29	29	36	64
Overall	**1,084**	**1,281**	**2,574**	**2,810**	**65**	**97**	**124**	**174**

8.9. The company's investment in Government Securities increased from **KES 659 million** in 2022 to **KES 719 million** in 2023. This further increased to **KES 894 million** in 2024.

8.10. Investment in equities decreased from **KES 1.29 billion** to **KES 1.23 billion**.

8.11. Pioneer General increased its deposits with financial institutions to **KES 221 million** in 2024 from **KES 120 million** in 2023.

8.12. Overall, the company's investments have increased steadily from **KES 1.1 billion** in 2021 to **KES 2.8 billion** in 2024.

8.13. The company's average investment return over the past four years has been **6%.**

Pioneer General Insurance Limited Investment Return 2021 - 2024				
	Investment Return (%)			
Asset Class	**2021**	**2022**	**2023**	**2024**
Investment Property	0%	0%	0%	0%
Equity Investments	0%	0%	0%	0%
Government securities	8%	10%	12%	12%
Deposits with financial institutions	12%	16%	30%	29%
Overall	**6.0%**	**7.6%**	**4.8%**	**6.2%**

8.14. Overall investment return achieved in 2024 is **6.2%** from a return of **4.8%** in 2023.

Statutory Investment Limits

8.15. The IRA has prescribed investment limits for insurance companies. The limits are as follows:

IRA Investment Guidelines to Insurance Asset Allocation		
Item	**Investment Category**	**Maximum Limit%**
1	Government securities issued - National and Counties	100
2	Fixed deposits in institutions licensed under the Banking Act, CAP 488 of the Laws of Kenya.	95
3	Cash and demand deposits in institutions licensed under the Banking Act, CAP 488 of the Laws of Kenya.	30
4	Equity securities:	
	Ordinary shares -Quoted	30
	Ordinary shares -Unquoted	10
	Preference Share - Quoted	10
	Preference Share - Unquoted	
5	Debt Securities:	
	Corporate Bonds - Secured	10
	Commercial Paper- Secured	10
	Commercial Paper - Unquoted	5
	Debentures - Listed Entities	10
	Debentures - Unlisted Entities	5
6	Land & Buildings	50
7	Investment Property	70
8	Investment in related companies	10
9	Policy Loans up to maximum of the Cash Surrender Value	100
10	Secured loans	10
11	Mortgages	20
12	Real Estate Investment Trusts (REITs) approved by the Authority	10
13	Foreign investments	5

8.16. A comparison has been undertaken to check the compliance of Pioneer General's investment allocations as at the Valuation Date with the Investment Policy and Statutory limits.

Asset Class	Strategic Allocation Limit	Tactical Allocation	Allocation as at 2024	IPS Compliance	Statutory Maximum	Statutory Compliance
Government Securities	42%	25% - 70%	28%	YES	100%	YES
Bank Deposits	30%	10% - 30%	7%	NO	95%	YES
Equity Investments	-	-	39%	NO	10%	NO
Offshore	3%	0% - 5%	0%	YES	5%	YES
Property	25%	5% - 35%	14%	YES	30%	YES

8.17. Investment allocation as at the valuation date was not compliant with the Investment Policy for bank deposits and equity investments.

8.18. The investment allocation to bank deposits was lower than recommended in the IPS, while the allocation in equities was above the statutory maximum.

8.19. However, the insurer has indicated that they are currently reviewing their IPS.

Risk-Based Supervision

8.21. It is important to note that in a risk-based supervision regime, various assets carry capital charges that are aimed at being reflective of the inherent risk. The table below highlights some of these charges:

Asset Type	Sub Asset Class	Risk Charge
Fixed Income	Government Bonds, Government Treasury Bills	0%
	Foreign Government Bonds	5%
	Local Authorities Bonds	12%
	Corporations and other organisation bonds	12%
Cash & Near Cash	Term Deposits Cash	0%
Debt Obligations	Policy Loans	0%
	Secured Loans - Corporations and other organizations	10%
	Secured Loans - Staff and Individuals	30%
	Investment in Subsidiaries, Associates and Joint Venture	40%
	Mortgages	30%
	Secured Loans to related parties	100%
Equity	Listed Ordinary Shares on the NSE	30%
	Listed Ordinary Shares on other recognized stock exchanges	30%
	Listed Preference Shares on the NSE	30%
	Listed Preference Shares on other recognized stock exchanges	40%
	Unlisted or private equity (including venture capital)	40%
Property	Land and Self-occupied properties	40%
	Investment in Property	30%
	Real Estate Investment Trusts (REITS)	30%

Investment Concentration Limits

8.22. IRA has further prescribed investment concentration limits for a number of asset classes, above which investment values become deductible from the company's available capital.

8.23. The concentration limits are as follows:

IRA Concentration Limit Factors for Calculation of Capital Adequacy General Insurers		
Item	**Investment Category**	**Assets Proportion**
1	Deposits in any one financial institution or group of related companies	10%
2	Shares of any one institution or group of related companies	10%
3	Property	30%
4	Equities	10%

8.24. Pioneer General's exposure to deposits in any one financial institution as at 31 December 2024 did not exceed the allowable concentration limit. However, exposure to investment in equities exceeded the allowable concentration limit.

Insurer's Liability Profile

Nature and Term of Liabilities

8.26. Both the timing and amounts of non-life insurance claim amounts cannot be known with certainty in advance as these are usually dependent on the terms of each specific cover and the actual loss events.

8.27. A summary of Pioneer General's insurance liability profile from 2020 to 2024 is as follows:

Pioneer General Insurance Limited
Liability Profile as at 31 December 2024

Business Class	Loss Year	Total Reported Claims	Average Reported Claims Amount	Claim Frequencies	Proportional Cost of Reported Claims			
					<5M	5M - 10M	10M-50M	>50M
Aviation	2024	-	-	0%	0%	0%	0%	0%
	2023	-	-	0%	0%	0%	0%	0%
	2022	-	-	0%	0%	0%	0%	0%
	2021	6,090,024	6,090,024	0.48	-	1.00	-	-
	2020	-	-	-	-	-	-	-
Engineering	2024	1,989,822	331,637	2%	100%	0%	0%	0%
	2023	1,523,766	507,922	2%	100%	0%	0%	0%
	2022	2,642,960	330,370	2%	100%	0%	0%	0%
	2021	950,420	55,907	6%	100%	0%	0%	0%
	2020	4,657,122	517,458	3%	100%	0%	0%	0%
Fire Domestic	2024	1,801,213	60,040	5%	100%	0%	0%	0%
	2023	1,528,746	63,698	8%	100%	0%	0%	0%
	2022	706,224	41,543	4%	100%	0%	0%	0%
	2021	985,126	35,183	5%	100%	0%	0%	0%
	2020	635,859	24,456	5%	100%	0%	0%	0%
Fire Industrial	2024	115,697,448	5,258,975	2%	10%	0%	9%	81%
	2023	1,754,320	175,432	2%	100%	0%	0%	0%
	2022	42,731,823	2,373,990	3%	16%	0%	84%	0%
	2021	14,900,785	551,881	4%	24%	0%	76%	0%
	2020	10,138,986	307,242	6%	38%	62%	0%	0%
Liability	2024	12,140,910	1,011,742	1%	16%	84%	0%	0%
	2023	3,874,832	968,708	2%	100%	0%	0%	0%
	2022	8,485,604	1,060,701	1%	100%	0%	0%	0%
	2021	5,531,394	614,599	2%	100%	0%	0%	0%
	2020	176,244	176,244	0%	100%	0%	0%	0%
Marine	2024	4,313,113	2,156,557	2%	100%	0%	0%	0%
	2023	861,469	430,735	2%	100%	0%	0%	0%
	2022	3,262,515	1,631,258	2%	100%	0%	0%	0%
	2021	-	-	0%	0%	0%	0%	0%
	2020	-	-	0%	0%	0%	0%	0%
Miscellaneous	2024	2,944,189	420,598	1%	100%	0%	0%	0%
	2023	768,560	69,869	2%	100%	0%	0%	0%
	2022	880,607	80,055	2%	100%	0%	0%	0%
	2021	741,521	57,040	3%	100%	0%	0%	0%
	2020	1,885,010	209,446	5%	100%	0%	0%	0%
Motor Commercial	2024	236,294,174	247,948	11%	91%	3%	7%	0%
	2023	219,893,798	312,751	14%	89%	0%	11%	0%
	2022	216,705,737	366,449	10%	81%	11%	8%	0%
	2021	204,970,849	364,069	13%	93%	7%	0%	0%
	2020	130,409,171	340,494	10%	82%	9%	9%	0%

Pioneer General Insurance Limited Liability Profile as at 31 December 2024								
Business Class	Loss Year	Total Reported Claims	Average Reported Claims Amount	Claim Frequencies	Proportional Cost of Reported Claims			
					<5M	5M - 10M	10M-50M	>50M
Motor Private	2024	507,951,310	209,033	10%	99%	1%	0%	0%
	2023	541,824,638	236,432	11%	97%	3%	0%	0%
	2022	579,814,970	234,399	11%	95%	3%	2%	0%
	2021	554,061,121	228,360	13%	95%	5%	0%	0%
	2020	421,211,210	216,442	13%	97%	3%	0%	0%
Personal Accident	2024	1,310,257	77,074	2%	100%	0%	0%	0%
	2023	1,145,293	47,721	2%	100%	0%	0%	0%
	2022	476,415	238,208	0%	100%	0%	0%	0%
	2021	1,363,888	194,841	1%	100%	0%	0%	0%
	2020	893,760	297,920	0%	100%	0%	0%	0%
Theft	2024	3,622,514	86,250	6%	100%	0%	0%	0%
	2023	1,163,926	68,466	6%	100%	0%	0%	0%
	2022	487,043	97,409	1%	100%	0%	0%	0%
	2021	862,298	287,433	1%	100%	0%	0%	0%
	2020	-	-	0%	0%	0%	0%	0%
Workmen's Compensation	2024	15,643,571	205,836	16%	100%	0%	0%	0%
	2023	11,948,480	217,245	18%	100%	0%	0%	0%
	2022	49,970,660	819,191	13%	38%	42%	20%	0%
	2021	31,385,431	747,272	11%	100%	0%	0%	0%
	2020	4,984,136	262,323	6%	100%	0%	0%	0%
Overall Profile	2024	**903,708,521**	**251,240**	**10%**	**84%**	**2%**	**3%**	**10%**
	2023	**786,287,828**	**235,627**	**11%**	**95%**	**2%**	**3%**	**0%**
	2022	**906,164,558**	**270,658**	**9%**	**85%**	**7%**	**8%**	**0%**
	2021	**821,842,857**	**258,198**	**12%**	**93%**	**6%**	**1%**	**0%**
	2020	**574,991,498**	**234,882**	**11%**	**92%**	**6%**	**2%**	**0%**
	2020 - 2024	**3,992,995,262**	**250,927**	**14%**	**89%**	**5%**	**4%**	**2%**

8.28. Most claims for Pioneer General are below **KES 5 million**. **0.26%** of the total count of claims reported between 2020 and 2024 were claims of amounts above this value.

Currency

8.29. Pioneer General underwrites all its insurance business in Kenyan currency and therefore has no exposure to foreign currency liabilities.

Asset Mix and Liquidity

8.30. The 4-year historical investments asset mix for Pioneer General is as shown in the table below. Between 2023 and 2024, the total assets of the company increased by **1%.**

Pioneer General Insurance Limited Balance Sheet (KES 'millions)				
	Y2021	Y2022	Y2023	Y2024
Assets				
Investment assets	1,084	1,281	2,574	2,810
Reinsurance Assets				
Insurance Contract Assets	147	195	164	-
Reinsurance Contract Assets	222	285	362	194
Non-reinsurance Recoveries				
Trade and Other Receivables	141	102	229	250
Cash	149	188	292	427
Fixed Assets	9	9	12	15
Other Assets	66	63	86	49
Total Assets	**1,819**	**2,124**	**3,719**	**3,745**
Liabilities				
Insurance Liabilities				
Insurance contract liabilities	1,026	1,314	1,655	1,623
Reinsurance Contract Liabilities	114	69	70	40
Non-Insurance Liabilities				
Trade and Other Payables	27	17	25	95
Other Liabilities	8	11	176	116
Total Liabilities	**1,175**	**1,410**	**1,926**	**1,875**
Net Assets (Shareholders' Funds)	**643**	**713**	**1,794**	**1,870**
Ratio of investment assets to total assets	*60%*	*60%*	*69%*	*75%*
Ratio of reinsurance assets to total assets	*20%*	*23%*	*14%*	*5%*
Ratio of insurance liabilities to total liabilities	*97%*	*98%*	*90%*	*89%*
Ratio of net assets to insurance liabilities	*56%*	*52%*	*104%*	*112%*
Asset Growth		***17%***	***75%***	***1%***

8.31. As at 2024, Pioneer General's investment assets made up **75%** of the company's total assets.

8.32. Reinsurance assets' proportion to total assets decreased to **5%** in 2024 from **14%** in 2023, while the company's net assets' cover of insurance liabilities increased to **112%** in 2023 from **104%** in 2022.

8.33. The insurer held cash deposits amounting to **KES 427 million** as at the Valuation Date.

Investment Assets

8.34. The allocation of the investment assets (including cash deposits) for the insurer over five years (2021 - 2024) is provided below:

Pioneer General Insurance Limited Investment Assets (KES Millions)								
	2021		2022		2023		2024	
Asset	Amount	%	Amount	%	Amount	%	Amount	%
Investment Property	386	31%	443	30%	443	15%	446	14%
Equity Investments	-	0%	-	0%	1,292	45%	1,250	39%
Government securities	445	36%	659	45%	719	25%	894	28%
Deposits with financial institutions	252	20%	179	12%	120	4%	221	7%
Cash	149	12%	188	13%	292	10%	427	13%
Totals	**1,233**	**100%**	**1,469**	**100%**	**2,866**	**100%**	**3,237**	**100%**

8.35. Equity Investments made up **39%** of the total investment assets as at the Valuation Date.

Liquidity

8.36. The liquid investment assets of the company were as follows:

Pioneer General Insurance Limited Liquid Investment Assets (Amounts in KES. Millions)				
Liquid Assets	2021	2022	2023	2024
Govt. Securities (Maturity within 1 year)	50	-	-	25
Cash	149	188	292	427
Fixed Deposits	252	179	120	221
Total Liquid Assets	**452**	**367**	**413**	**672**
Insurance Liabilities	**1,140**	**1,383**	**1,725**	**1,663**
Insurance Liabilities Cover	*40%*	*27%*	*24%*	*40%*
Liquid Assets to Total Balance Sheet Assets	*25%*	*17%*	*11%*	*18%*

8.37. Pioneer General's liquid investment assets made up **18%** of the company's total assets in 2024, an increase from **11%** in 2023.

8.38. The liquid investment assets covered **40%** of company's insurance liabilities as at the end of 2024, an increase from **24%** in 2023.

8.39. A summarised breakdown of the insurer's current assets over the years from 2021 to 2024 is provided in the table below:

Pioneer General Insurance Limited Current Assets (Amounts in KES Millions)				
Current Assets	**2021**	**2022**	**2023**	**2024**
Insurance and other receivables	288	298	392	250
HTM Govt. Securities (Maturity within 1 year)	50	-	-	25
Reinsurers' share of insurance liabilities	222	285	362	194
Cash and bank balances	149	188	292	427
Deposits with financial institutions	252	179	120	221
Total Current Assets	**963**	**950**	**1,167**	**1,116**

8.40. Current assets of the insurer amounting to **KES 1.1 billion** covered **67%** of the insurance liabilities as at the current Valuation Date, a decrease from **68%** in 2023.

9. CAPITAL MANAGEMENT AND CAPITAL ADEQUACY

Capital Management

9.1. Pioneer has a Capital Management Policy in place. The company acknowledges the need to have sufficient financial resources to meet their insurance liabilities whenever they fall due.

9.2. The company has documented the following strategies in a bid to increase their capital base:

a) Accumulation of profits over time

b) Management actions such as reinsurance strategies

c) Reduction in risky assets in the balance sheet

d) Raising of new Equity

9.3. The aim of these capital management strategies is to maintain the Capital Adequacy Ratio above the minimum required by regulations.

9.4. The Board of Directors is responsible for overseeing capital management of the company and is tasked with reviewing the same annually.

9.5. The Senior Management is responsible for implementing the Capital Management Policy as approved by the Board.

9.6. The objectives of the Policy should at a minimum address the following issues:

a) Prevents frequent breaches of statutory solvency requirements

b) Takes. into account composition of own funds and planning of future composition of capital

c) Takes. into account the nature of the company, its businesses and risks inherent to it.

d) Quick and adequate measures in the event that their solvency ratio declines rapidly or falls below the critical limit

e) Enables periodic evaluation of capital management policy and adjust it when it is deemed necessary

Solvency Requirements

9.7. Insurance solvency requirements are defined in the IRA Guidelines on Risk Based Capital (RBC). Further to the Insurance (Amendment) Act 2016, the Guidelines came into effect in December 2016.

9.8. We have analysed the risk-based capital requirements for the year 2024 based on the statutory risk-based capital model as issued by the IRA.

Risk Based Capital

9.9. The required capital level is set based on the maximum of three parameters

(i) the absolute minimum capital;

(ii) a proportion of revenue; and

(iii) the risk-based capital.

Pioneer General Insurance Limited Capital Adequacy Assessment (Amounts in KES Millions)					
RISK BASED CAPITAL - COMPONENTS		**31-Dec-21**	**31-Dec-22**	**31-Dec-23**	**31-Dec-24**
A	Credit Risk	192	184	320	283
B	Market Risk	116	133	199	134
C	Insurance Risk	136	193	140	127
D	Operational Risk Charge	79	89	121	101
E	Diversification Benefits	(181)	(212)	(257)	(206)
F = SUM (A .. E)	**Risk Based Capital**	**341**	**387**	**523**	**439**
REQUIRED CAPITAL (RISK BASED CAPITAL)		**31-Dec-21**	**31-Dec-22**	**31-Dec-23**	**31-Dec-24**
G	Minimum Capital of KES 600m	600	600	600	600
H	20% of Net Earned Premium in the Previous Year	142	199	281	284
I	Calculated Risk Based Capital	341	387	523	439
J= MAX (G, H, I)	**Minimum Required Capital**	**600**	**600**	**600**	**600**
SOLVENCY RATIO		**31-Dec-21**	**31-Dec-22**	**31- Dec-23**	**31-Dec-24**
K	Available Capital	611	681	805	913
L	Required Capital	600	600	600	600
M= K/L	**Solvency Ratio / Capital Adequacy Ratio (CAR)**	**102%**	**113%**	**134%**	**152%**
N = K - L	**At 100% Minimum Capital: Surplus / - Deficit**	11	81	205	313
M = K - 2L	**At 200% Minimum Capital: Surplus / - Deficit**	(589)	(519)	(395)	(287)

Capital Adequacy Ratio

9.10. Based on the RBC requirements, the insurer had a Capital Adequacy Ratio (CAR) of **152%** as at 31 December 2024, an increase from **134%** in 2023. The insurer met the statutory Minimum Capital Requirement (MCR).

9.11. The RBC for the insurer is derived from four main components, with an allowance for diversification benefits across these risk components.

a) Insurance Risk

b) Market Risk

c) Credit Risk

d) Operational Risk

e) Diversification Benefits

9.12. The Prescribed Capital Ratio (PCR) set by the regulator is 200% with a target date of 30 June 2021.

9.13. The table below shows that the RBC requirements for Pioneer General are mainly driven by Credit Risk.

Pioneer General Insurance Limited Risk-Based Capital Composition (Amounts in KES Millions)		
Risk-Based Capital Components (in KES millions)		**Amount**
A	Credit Risk	283
B	Market Risk	134
C	Insurance Risk	127
D	Operational Risk Charge	101
E	Diversification Benefits	(206)
F = SUM (A .. E)	**Risk Based Capital**	**439**

9.14. Credit Risk charges accounted for **64%** of the total RBC requirement, before diversification. The key sub-component driving the risk-based capital charges is investment in Subsidiaries, Associates & Joint Ventures.

9.15. The capital composition is further broken down per sub-category, with their makeup of the total capital requirement (before diversification) is shown in the table below:

Risk-Based Capital Composition (Amounts in KES Millions)			
Risk Category		**Amount**	**% Composition**
Market Risk	Investment Property	134	26%
Credit Risk	Investment in Subsidiaries, Associates & Joint Ventures	150	29%
Credit Risk	Reinsurance Assets	6	1%
Credit Risk	Premium Receivables	-	0%
Credit Risk	Other debt obligations	-	0%
Operational Risk	Operational Risk Charge	101	20%
Insurance Risk	Premium and Claims Reserves	98	19%
Insurance Risk	Risk Margin	28	5%
		518	100%

9.16. The operational risk capital charge has been determined as a proxy based on the other key risk categories.

Recommendations

9.17. The insurer's equity investments exceed the prescribed 10% limit, leading to overconcentration. A significant portion of this **(KES 875 million)** is deducted from capital solvency calculations, reducing the Capital Available under the Risk-Based Capital (RBC) framework.

9.18. The insurer should consider diversifying the asset mix to increase the capital available and strengthen its solvency position.

10. REINSURANCE ARRANGEMENTS

Reinsurance Management Strategy (RMS)

10.1. Pioneer General Insurance Limited is in its seventh year of operation. The reinsurance operations are managed under the Reinsurance Department.

10.2. The company has in place a Reinsurance Management Strategy (RMS) that guides reinsurance matters in areas such as:

Retention Levels

10.3. Retentions are to be reviewed annually in consultation with the company's Actuarial Function based on the realised claims experience and taking into account the growth of business.

Reinsurers' Selection

10.4. Pioneer General cedes its insurance business to local reinsurance companies unless there is need for more capacity for a given risk.

10.5. The lead reinsurer will need a minimum financial strength rating of B+ by A.M. Best or Standard & Poor's and to manage concentration risk, the company will ensure participation of at least 3 reinsurers per treaty.

10.6. The insurer will negotiate for reinsurance terms through a broker and the negotiated treaties will depend on the following:

a) Proportional treaties will be used for property classes of business

b) Non-proportional treaties will be used for liability classes and net account protection for property and catastrophe cover

10.7. Facultative placement of risks will only be considered in cases where:

- There is need for additional capacity for a specific risk(s)
- Risks are excluded by the existing treaties
- The company seeks to reduce exposure on higher-than-normal-degree hazardous risks

Internal Controls

10.8. An insurer's Reinsurance Management Strategy is a framework for implementing, reporting, monitoring and responding to the insurer's reinsurance arrangements in a timely and effective manner.

10.9. Pioneer General will review its Reinsurance Management Strategy on an annual basis or when there are material changes in the company's circumstances, underwriting policy or the status of the panel of reinsurers.

10.10. Senior Management are in charge of the implementation of the RMS and are tasked with the development of operational policies and procedures for implementing the RMS.

Risk Transfer Products

10.11. Pioneer General currently uses the primary insurance risk transfer tool, i.e. reinsurance, and has in place Surplus, Quota Share and Excess of Loss arrangements.

10.12. The company currently uses no alternative risk management tools such as financial reinsurance or purported reinsurance (whether financial or otherwise).

Reinsurance Arrangements

10.13. The company ceded its insurance business to both local and international reinsurers in 2024 in accordance with the company's Reinsurance Management Strategy. This helps to manage concentration risk and promote diversification.

10.14. The table below summaries the reinsurers to be engaged in the 2025 reinsurance treaties, their financial strength rating, and the proportion of cover:

Reinsurer	Rating	Rating Agency
African Reinsurance Corporation	Aa	A.M Best
Continental Reinsurance Plc	B+ bbb-	A.M Best
Ghana Reinsurance Company Plc	B- bb-	A.M Best
Kenya Reinsurance Corporation	B bb+	A.M Best
PTA Reinsurance Company	B++ bbb+	A.M Best
WAICA Reinsurance Corporation Plc	B bb+	A.M Best

10.15. The reinsurers have a rating of above B indicating an average to excellent ability to meet their contractual obligations.

Reinsurance Brokers

10.16. Reinsurance brokers that Pioneer plans to engage in 2025 are:

Reinsurance Brokers	
Name of Reinsurance Broker	**Incorporation Details *(Local, Foreign)***
Acentria Reinsurance Brokers	Local
Apex Reinsurance Brokers	Local
First reinsurance Brokers	Local
Global Bharat Reinsurance Brokers	Local
Minet Reinsurance Brokers	Local
Nairobi Reinsurance Brokers	Local
Zamara Reinsurance Brokers	Local

10.17. All reinsurance brokers are locally incorporated.

Reinsurance Recoveries

10.18. To the best of our knowledge, there has been no significant disputes reported between the company and its reinsurers as at the Valuation Date.

10.19. The credit risk due to reinsurers has therefore been accounted for within the risk-based capital calculations.

Catastrophes

10.20. The claim liability profile shows that over the last five years, the company did not receive any claim above **KES 50 million.**

Reinsurance Arrangements

10.21. The table below shows the 2024 and 2025 reinsurance program of the insurer.

Pioneer General Insurance Limited Summary of Reinsurance Treaties (in Kes M)												
Form & Type of Reinsurance		**Class of Insurance**	**Pioneer General**				**Reinsurers**				**Total**	
				2024		**2025**		**2024**		**2025**		
			%/Lines	**Limit**	**%/Lines**	**Limit**	**%/Lines**	**Limit**	**%/Lines**	**Limit**	**2024**	**2025**
Proportional Business	**Surplus**	Fire & Engineering	1	50	1	50	20	1,000	20	1,000	1,050	1,050
		Personal Accident & WIBA										
		Any one Loss	1	10	1	20	25	250	15	300	260	320
		Known Accumulation	1	20	1	60	25	500	15	900	520	960
		Marine										
		Cargo	1	50	1	50	6	300	6	300	350	350
		Hull	1	6	1	6	5	30	5	30	36	36
	Quota Share	Bonds & Guarantees										
		Any one bond	20%	12	40%	24	80%	48	60%	36	60	60
		Any one contractor	20%	30	40%	60	80%	120	60%	90	150	150
		Terrorism & Political Risks	20%	100	30%	150	80%	400	70%	350	500	500
		Travel	10%		10%		90%		90%			
Non-Proportional Business	**Excess of Loss**	Fire & Engineering		15		15		485		485	500	500
		Motor, Marine, Accident & Liability		5		5		295		295	300	300

10.22. Compared to the reinsurance treaties in place for the year 2024, the treaties proposed for 2025 will largely remain unchanged for most classes, except;

i. Increase in Personal Accident & WIBA Surplus Treaty capacity from **KES 260 million** to **320 million** for any one loss; and

ii. Increase in Personal Accident & WIBA Surplus Treaty capacity from **KES 520 million** to **960 million** for Known Accumulation.

Maximum Event Retention (MER)

10.23. **Definition:** The maximum event retention (MER) is the largest loss to which an insurer will be exposed due to a concentration of risk exposures (such that the probability of a loss exceeding that amount is within a specified probability) after netting out any Excess of Loss Reinsurance.

10.24. The assessment of **MER** for Pioneer General has been conducted class-wise, on a "whole of portfolio" basis rather than a "single peril" basis, with consideration for the insurer's business portfolio and existing reinsurance arrangements as at the date of this report. Claim and frequencies experience observed over the period to 2024 have been used:

Pioneer General Insurance Limited Catastrophe Simulation (1 in 200 Years Catastrophic Event with Total Loss) - Amounts in KES. Millions													
Business Class	Catastrophe Likelihood	Catastrophic No of Claims	Loss Value Per Claim	PML	Insurer's Retention per Policy - KES 'M	Insurer's Share of Claims - KES 'M	Reinsurer's Proportional Treaty Limits per Policy - KES 'M	Reinsurer's Share under Proportional Treaty - KES 'M	Claims Above Proportional Limits	Reinsurer's Non-Proportional Treaty Limits per Policy - KES 'M	Reinsurer's Share under Non-Proportional Treaty - KES 'M	Insurer's Retention Above Reinsurer's Share - KES 'M	MER* - KES 'M
	A	*B*	*C*	*D = B x C*	*E*	*F=min(C,E) x B*	*G*	*H= min (G, C - E) x B*	*I = (C - E - G) x B*	*J*	*K = min(J,C - E - G) x B*	*L = D - F - H - K*	*M = F + L*
Aviation	0.50%	-	-	-	-	-	-	-	-	-	-	-	-
Engineering	0.05%	0.11	45	5	50	5	1,000	-	-	485	-	-	5
Fire Domestic	0.04%	0.34	11	4	50	4	1,000	-	-	485	-	-	4
Fire Industrial	0.04%	0.38	94	35	50	19	1,000	16	-	485	-	-	18
Liability	0.02%	0.12	21	2	5	1	-	-	2	295	2	-	1
Marine	0.02%	0.02	23	0	56	0	330	-	-	295	-	-	-
Miscellaneous	0.02%	0.13	4	1	80	1	1,200	-	-	-	-	-	1
Motor Commercial	0.08%	5.11	2	9	5	9	-	-	-	295	-	-	9
Motor Private	0.08%	13.31	1	19	5	19	-	-	-	295	-	-	19
Personal Accident	0.02%	0.15	6	1	80	1	1,200	-	-	295	-	-	1
Theft	0.07%	0.46	12	5	5	2	-	-	3	295	3	-	2
Workmen's Compensation	0.06%	0.30	37	11	80	11	1,200	-	-	-	-	-	11
Total				**92**	**466**	**71**	**6,930**	**16**	**5**	**3,225**	**5**	**-**	**71**

10.25. Based on a **99.5%** confidence level (1 in 200-year event) and the simulation parameters highlighted, in the table above, the calculated MER is **KES 71 million**. i.e. the total claim amounts that the insurer is estimated to pay in the event of a catastrophe over the next year. Out of the total MER, the total amount of claims the insurer would be liable to pay above its retention limits is zero.

10.26. This implies that all catastrophic losses estimated at the stated Confidence Level would be absorbed within the reinsurance arrangements in place.

10.27. The existing reinsurance covers in place provide adequate coverage.

2024 Reinsurance Experience Analysis

10.28. We further analysed the company's reinsurance experience during the 2024 underwriting year, with the following results;

Pioneer General Insurance Limited 2024 Reinsurance Experience		
Business Class	**Premium Ceding Rates**	**Reported Claims Recovery Rates**
Engineering	52%	1%
Fire Domestic	21%	0%
Fire Industrial	70%	73%
Liability	28%	0%
Marine	84%	0%
Miscellaneous	61%	19%
Motor Commercial	1%	6%
Motor Private	1%	0%
Personal Accident	37%	56%
Theft	27%	7%
Workmen's Compensation	42%	42%
Total	**12%**	**12%**

10.29. Based on the data, premium ceded under all classes of business except for Fire Industrial, Motor Commercial and Personal Accident classes of business were significantly higher than the respective claims recovered from the reinsurers.

10.30. This might necessitate the insurer's evaluation of the cost efficiency of the reinsurance arrangements for these classes vis-à-vis the actual claims experience.

10.31. Overall, the insurer's claims recovery and premium cessions rates for the year 2024 were **12%.**

11. RISK MANAGEMENT

Risk Management Policy

11.1. Pioneer General has adopted a Risk Management Policy which outlines the risk management function, structure and the roles and responsibilities of various stakeholders.

11.2. An effective risk management framework should support the following primary corporate objectives:

a) To help ensure that the risk management policy approved by the insurer's Board is understood and consistently applied across the company;

b) Compliance with relevant regulatory requirements;

c) To create and protect value by contributing to the achievement of company's objectives;

d) Identify, measure and control risks that might impact the achievement of the insurer's objectives;

e) Provide a framework for formulation of risk management strategies;

f) Identify and harness opportunities; and

g) Protect and enhance reputation of the insurer.

Risk Management Process

11.3. The key areas to be addressed by the company's risk management framework should be as follows:

a) **Risk identification**: The insurer should recognize and understand risks that may arise from both existing and new business activities.

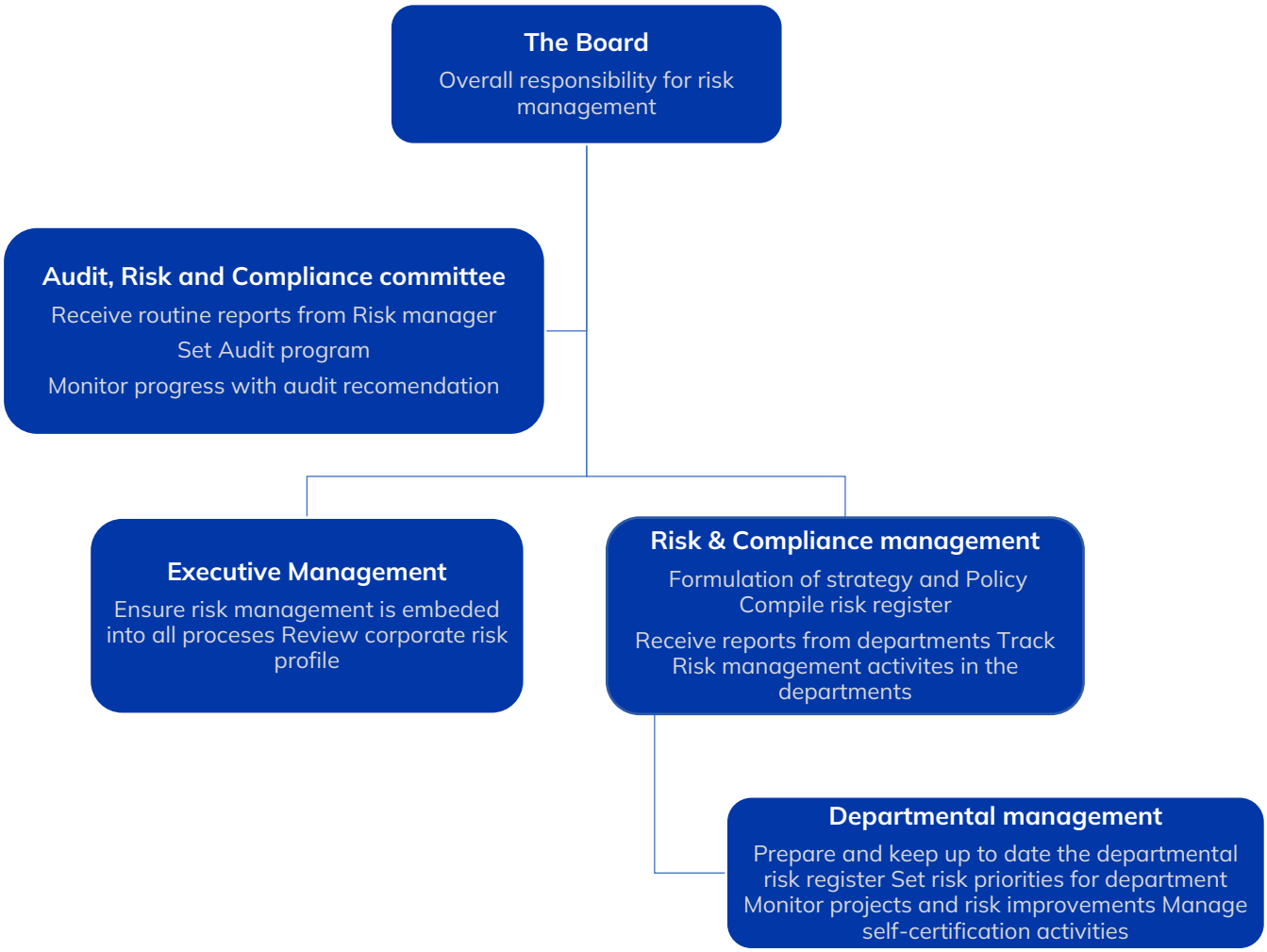
b) **Risk measurement**: Once risks have been identified, they should be measured in order to determine their impact on the insurer's profitability and capital.

c) **Risk control**: After measuring risk, the insurer should establish and communicate risk limits through policies, standards, and procedures that define responsibility and authority. These limits should serve as a means to control exposure to various risks associated with the insurer's activities

d) **Risk monitoring and reporting**: The insurer shall monitor the risk levels and facilitate timely review of risk positions and exceptions. Monitoring reports need to be frequent, timely, accurate, and informative and should be distributed to appropriate individuals to ensure action when needed.

11.4. The Risk Management Policy of Pioneer General addresses all the key processes. The company's risk quantification matrix is attached in the appendix.

Risk Management Architecture



12. INTERNAL PROCESSES REVIEW

Claims Process Review

12.1. The Insurance Regulatory Authority has the "*Guidelines on Claims Management for the Insurance Industry*" in place. The claims process for Pioneer General has been reviewed against these guidelines with an aim of identifying any gaps in their manual and providing recommendations as appropriate.

12.2. The key information that the insurer is required to capture within the manual is described below with comments on its compliance based on IRA requirements.

Pre-loss Information

12.3. The insurer should issue guidance to its policyholders on what to do on occurrence of a loss.

12.4. The document should include the following:

a. Loss minimization ways
b. How to, and the importance of reporting a claim in a timely manner
c. The need for the policy holder to cooperate in investigations regarding the loss
d. The need to allow the company to do an assessment of the damage before settlement
e. Understand the principle of subrogation

12.5. Pioneer's Claims Manual is compliant with this requirement, it highlights the need to educate their policyholders on the claim settlement process by including a guide in the policy document.

Claims Handling

12.6. Pioneer's Manual provides a claim handling process for each class of business. This includes the required documents necessary to process a claim and any special conditions under each class.

12.7. The manual also highlights the turnaround times for various steps during the claim process as required by IRA.

Fraud Detection and Protection

12.8. A key requirement by IRA is the establishment of systems and controls for detecting and identifying fraud.

12.9. The claims department at Pioneer is responsible for dealing and putting in place the measures to curb fraud. A key recommendation would be for Pioneer to include their fraud detection procedures in the manual.

12.10. The level of operationalization of the Claims Manual was assessed through interactions with the claims team.

12.11. We note that the claims process is under continuous review in line with advancements in best practice and various initiatives on automation and digital advancements.

Underwriting Process Review

12.12. The insurer has in place an Underwriting Manual that contains policies and procedures to be applied at the policy underwriting stage depending on the classes of business.

12.13. The underwriting procedures in place take into consideration past performance and are therefore reflective of the company's own experience.

12.14. The underwriting procedures set highlight the steps, flow of action and logic to be applied by the underwriting team during the business acquisition process.

12.15. The manual also lays out the roles and responsibilities of the various team members involved throughout the underwriting process.

12.16. A key point to note is the insurer's emphasis on risk-based underwriting practices that enable the company to adequately price insurance policies based on the exposure and underlying risk factors.

12.17. The manual also highlights the need for synergies between the claims and underwriting team within the company, which is critical for effective underwriting.

12.18. A review of the manual was undertaken against the company's experience, our industry knowledge and best market practices.

12.19. The focus areas were the rating factors for each class of business that Pioneer General underwrites. A summary of the rating factors per class and the prescribed rates as highlighted in the underwriting manual are included in the appendix.

13. CONCLUSION AND RECOMMENDATIONS

Key Recommendations

Expenses

13.1. While the overall management expenses have decreased from **31%** to **29%**, Marine class is noted to have significantly increased from **41%** to **167%.** This is due to the high increase in expenses compared to the decrease in the net earned premiums which is as a result of the insurer ceding more premiums for Marine class than they are earning.

13.2. The insurer should consider reviewing their reinsurance arrangements to ensure that they are not ceding out majority of their profits.

Capital Management and Capital Adequacy

13.3. The insurer's equity investments exceed the prescribed 10% limit, leading to overconcentration**.** A significant portion of this **(KES 875 million)** is deducted from capital solvency calculations, reducing the Capital Available under the Risk-Based Capital (RBC) framework.

13.4. The insurer should consider diversifying the asset mix to increase the capital available and strengthen its solvency position.

Previous FCR Recommendations & Extent Addressed by Insurer

13.6. Insurance regulations require that the Appointed Actuary reviews the extent to which the previous FCR recommendations have been implemented. The table below highlights the extent to which the recommendations have been addressed:

Pioneer Insurance Kenya Limited Past FCR Recommendations - 2023		
	2023 FCR Recommendations	**Extent Addressed as at 2024**
1	**Product Mix & Diversification** As at the valuation date the insurer stated that they have made efforts to diversify the business and reduce exposure in motor business. However, the proportion of the Motor book has continued to increase from 69% in 2022 to 81% in 2023. This remains much higher than the industry average, therefore we recommend continued efforts by the business to increase exposure to the more profitable non-Motor classes of business	The company has strived to diversify its business and reduce its exposure to motor business in line with actuary's recommendation. As at the end of 2024 , the company's book comprised of 78% motor business and 22% non-motor.
2	**Expenses** The Fire Industrial, Marine, Motor Commercial, Motor Private and Workmen's Compensation classes of business are projected to result to an ultimate loss for the year 2023, considering their combined ratios of above 100%. We recommend closely monitoring the performance of these classes of business to ensure sustainability and profitability.	The management is conducting expense reviews and plans to reduce our expense ratio and plans to write more profitable businesses.
3	**Reinsurance Arrangements** The company's financial results show consistently lower profits on a net basis compared to the gross position, as the company is ceding away more of its profitable non-Motor business than the less profitable Motor business. The insurer currently has plans to review the appropriateness and cost effectiveness of existing reinsurance arrangements in the 2024 Financial Year.	At the end of the year 2023, an assessment of the adequacy of reinsurance strategies and arrangements proposed to cover of the insurer's underwriting risks was done. Given the company's plan for the year 2024, the treaty arrangements proposed were appropriate and the company realised a reinsurance profit.
4	**Reserving** From the test on the adequacy of previous reserves, the Case Estimates held as at December 2020, 2021, and 2022 are expected to be inadequate. The inadequacy is mainly driven by the Motor and Fire Industrial classes. As at the valuation date the management has stated that they have reviewed and adjusted the minimum case estimates from KES. 150,000 to KES. 180,000. Based on OCR utilization as at 2023, we will continue to monitor the case estimate pattern to ascertain this commitment.	The insurer has maintained their minimum case estimate at KES 180,000 and is closely monitoring.
5(i) **(ii)**	**Asset and Liability Management** We have noted that as at 2023 Pioneer invested KES **1.3 billion** in unquoted equities (Available for sale asset). This amount is equivalent to **45%** of its total assets and therefore is not in compliance with the statutory limits. We recommend that Pioneer review the amount invested in unquoted equities to be within the statutory limits. The insurer should also review its Investment Policy Statement to accommodate for investments in unquoted equities. Additionally, the insurer's proportion of liquid assets to total assets for the year 2023 decreased to **11%** from **17%** in 2023. Considering the short term nature of the business, Pioneer should consider diversifying its investments to improve liquidity and cater for insurance liabilities.	The proportion of the amounts invested in unquoted equities to total investment assets has reduced from 45% to 39%. Our proportion of liquid assets to total assets for the year 2024 increased to 17% from 11% in 2023. The insurer has indicated that they are currently reviewing their IPS to accommodate for investment in unquoted equities.

14. APPENDIX

SCHEDULE 1: REVIEW OF DATA PROVIDED AT THIS VALUATION

14.1. In developing this report, I have relied upon data and information supplied by the management of the insurer. I have checked the general completeness, reasonability and accuracy of this data against my knowledge of the company, local market practice, and international best practice. The data provided was acceptable for use.

Data Provided

14.2. The following data and information were requested and received from Pioneer General Insurance to enable the preparation of this FCR:

Pioneer General Insurance Limited Summary of Data Provided		
Paid Claims Data	**Premium Data**	**Outstanding Claims Data**
Unique Policy Identifier	Unique Policy Identifier	Unique Policy Identifier
Class of Business	Class of Business	Class of Business
Inward/Outward Indicator	Product Description	Product Description
Start Date of Cover Period	Date of Loss	Date of Accident
End Date of Cover Period	Date of Report	Outstanding Claim Amount - Gross
Gross written premium	Date of Payment	Outstanding Claim Amount - Reinsurance estimate
Reinsurance Premium Amount Paid	Amount of Gross Claim Payment	
Commissions Paid	Amount of Reinsurance Recovery	
Other General Information		
Organization Structure, including Board details		
Risk Management strategy		
Reinsurance Strategy and Treaties (2024 - 2025)		
Underwriting Manual		
Claims Manual		

Data Checks and Reconciliation

14.3. The reasonability of the data and consistency with previous reports were checked as part of the preparatory work. I carried out the following checks about the data: -

a) **Source of Data:** The main source of data was the company's administration system;

b) **Data Accuracy:** Data accuracy checks were conducted on the data provided and unusual items were identified, and clarification sought where necessary. Duplicate items were identified and removed.

c) **Reasonability checks**: Checks were done with key considerations to confirm:

(i) Gross premium is less than the sum assured for in-force policies;

(ii) Policy start date is before policy end date per policy; and

(iii) Only data before 31 December 2024 was reviewed.

14.4. Reconciliation between current and historical data schedules was undertaken.

2024 Premium Data

Pioneer General Insurance Limited Premium Data Variation Checks as at 31 December 2024			
Business Class	Gross Written Premium		
	Data	Financials	Variation
Engineering	26,959,584	26,667,196	1%
Fire Domestic	12,688,497	12,688,497	0%
Fire Industrial	92,458,178	92,458,178	0%
Liability	43,004,299	43,140,549	0%
Marine	49,355,425	49,355,240	0%
Miscellaneous	25,340,169	26,118,482	-3%
Motor Commercial	522,486,177	522,486,176	0%
Motor Private	981,584,357	980,899,809	0%
Personal Accident	20,243,560	20,927,856	-3%
Theft	33,280,780	32,658,605	2%
Workmen's Compensation	109,854,094	109,854,094	0%
TOTAL	**1,917,255,120**	**1,917,254,682**	**0%**

Data Grouping

14.5. Claim data was mainly grouped based on Loss/Accident year and premium data was grouped based on (a) underwriting year and (b) reporting year. In all cases, the actual grouping method is disclosed.

SCHEDULE 2: RESERVE VALUATION REPORT

Provided in a separate IRA online portal attachment.

SCHEDULE 3: NUMBER OF POLICIES IN FORCE

Pioneer General Insurance Limited Summary of Business Exposure (In-force Policies)			
Business Class	U/W Year	Number of Policies in Force	Total Sums Assured
Aviation	2024	-	-
	2023	-	-
	2022	-	-
	2021	4	191,757,000
	2020	-	-
Engineering	2024	244	11,049,211,914
	2023	307	11,980,149,135
	2022	244	5,019,582,258
	2021	243	6,415,897,585
	2020	165	6,305,432,544
Fire Domestic	2024	796	8,521,987,000
	2023	358	5,600,235,953
	2022	276	3,741,689,861
	2021	401	6,012,070,156
	2020	380	3,823,012,618
Fire Industrial	2024	940	88,175,321,628
	2023	721	67,269,048,706
	2022	632	39,409,952,689
	2021	527	38,580,904,674
	2020	384	43,185,862,914
Liability	2024	763	15,994,075,539
	2023	687	14,878,067,782
	2022	557	10,290,044,212
	2021	569	12,767,583,412
	2020	328	8,165,514,533
Marine	2024	81	1,880,668,652
	2023	125	2,351,376,927
	2022	86	1,811,581,892
	2021	133	2,098,452,614
	2020	99	897,687,619
Miscellaneous	2024	569	2,279,499,288
	2023	282	639,630,800
	2022	203	697,317,059
	2021	644	11,119,085,645
	2020	135	1,643,032,939
Motor Commercial	2024	6,454	11,695,912,813
	2023	6,129	18,454,478,567
	2022	4,869	4,593,103,210
	2021	4,498	4,122,884,122
	2020	1,628	1,603,874,092
Motor Private	2024	16,803	23,804,359,548
	2023	18,586	41,942,633,120
	2022	16,279	13,871,647,598
	2021	18,860	13,730,101,068
	2020	7,033	4,934,989,380

Pioneer General Insurance Limited Summary of Business Exposure (In-force Policies)			
Business Class	**U/W Year**	**Number of Policies in Force**	**Total Sums Assured**
Personal Accident	**2024**	727	4,193,186,729
	2023	697	1,631,245,226
	2022	496	775,277,448
	2021	523	687,157,949
	2020	201	2,935,803,199
Theft	**2024**	710	8,208,089,909
	2023	620	7,319,657,305
	2022	561	5,777,104,259
	2021	384	2,879,784,568
	2020	540	656,901,674
Workmen's Compensation	**2024**	465	17,342,149,608
	2023	383	15,932,177,942
	2022	329	18,056,862,175
	2021	351	6,258,706,459
	2020	199	4,736,801,536
Overall Profile	**2024**	**28,552**	**193,144,462,628**
	2023	**28,895**	**187,998,701,463**
	2022	**24,532**	**104,044,162,661**
	2021	**27,137**	**104,864,385,252**
	2020	**11,092**	**78,888,913,048**
	2020 - 2024	**120,208**	**668,940,625,052**

SCHEDULE 4: 2025 Budget Plan

Pioneer General Insurance Limited
Budget Vs Actual Analysis (2020- 2024) - KES. '000

	Actual					Budget					*Achievement*					Plan
	2020	2021	2022	2023	2024	2020	2021	2022	2023	2024	2020	2021	2022	2023	2024	2025
GWP	883,816	1,403,558	1,635,760	1,595,570	1,917,255	1,064,000	1,209,379	1,644,293	2,002,266	2,110,000	*83%*	*116%*	*99%*	*80%*	*91%*	3,015,000
Net Earned Premium	710,234	995,870	1,406,548	1,420,510	1,576,027	813,229	771,755	1,087,956	1,510,959	1,601,686	*87%*	*129%*	*129%*	*94%*	*98%*	1,954,399
Ceded Premiums	203,119	242,980	152,185	146,072	228,083	178,269	255,650	277,635	215,488	217,685	*114%*	*95%*	*55%*	*68%*	*105%*	351,007
Net Claims	419,223	695,228	903,996	936,436	972,006	514,662	444,943	657,056	927,018	965,845	*81%*	*156%*	*138%*	*101%*	*101%*	1,174,425
Net Commissions	73,057	91,706	174,688	147,731	177,723	80,269	77,891	110,638	156,087	148,650	*91%*	*118%*	*158%*	*95%*	*120%*	148,757
Management Expenses	259,625	305,617	364,710	441,507	457,527	260,483	280,706	352,833	405,721	486,494	*100%*	*109%*	*103%*	*109%*	*94%*	648,318
Underwriting Result	**(41,670)**	**(96,681)**	**(36,846)**	**(105,164)**	**(31,229)**	**(42,184)**	**(31,785)**	**(32,571)**	**22,132**	**697**	***99%***	***304%***	***113%***	***-475%***	***-4481%***	**(17,102)**
RATIOS																
Growth	*3%*	*59%*	*17%*	*-2%*	*20%*	*24%*	*14%*	*36%*	*22%*	*5%*						*57%*
Ceding Ratio	*23%*	*17%*	*9%*	*9%*	*11%*	*17%*	*21%*	*17%*	*11%*	*6%*						*12%*
Claims Ratio	*59%*	*70%*	*64%*	*66%*	*56%*	*63%*	*58%*	*60%*	*61%*	*1%*						*60%*
Commission Ratio	*10%*	*9%*	*12%*	*10%*	*4%*	*10%*	*10%*	*10%*	*10%*	*4%*						*8%*
Expense Ratio	*37%*	*31%*	*26%*	*31%*	*20%*	*32%*	*36%*	*32%*	*27%*	*-5%*						*33%*
Profit Ratio	*-6%*	*-10%*	*-3%*	*-7%*	*4%*	*-5%*	*-4%*	*-3%*	*1%*	*20%*						*-1%*

SCHEDULE 5: RISK QUANTIFICATION MATRIX

Overall Impact Rating	1	2	3	4	5
Impact	Insignificant	Minor	Moderate	Major	Catastrophic
Surplus	< 0.3m	0.3m < 0.5m	0.5m < 1.0m	1m < 2.0m	> 2.0m
Turnover	up to 1m	1m - 2m	2.1m - 3m	3.1m - 10m	>10m
Management Time	Resolution would be achieved during normal day to day activity	Resolution would require coordinated input from departments	Resolution would require input from risk strategy team	Resolution would require mobilization of a dedicated project team	Resolution would require input from the board
Health & Safety	On-site exposure, immediately contained	On-site exposure, contained after prolonged effect	On-site exposure, contained with outside assistance	Prolonged/Major incident with serious casualties	Major incident with multiple fatalities
Reputation	Letters to local/sector press	Series of articles in local press	Extended negative local/sector media coverage	Short term negative national media coverage	Extensive, sustained negative national media coverage
Regulatory & Legal Action	Minor breaches by individual staff members	No fine, no disruption to business	Fine but no disruption to business operations	Fine and disruption to business operations	Significant disruption to business operations over an extended period of time
Staff Impact (Morale, Recruitment, Retention)	No evidence of adverse reaction	Staff complaints, possible comment by Union Members	General discontent evident across multiple groups of staff	Significant adverse impact, significant concerns to P.I.C.L	Disaster management process required. Trade Unions in conflict mode
Management effort	An event which can be absorbed through normal activity	An event the consequences of which can be absorbed but MANAGEMENT effort required to minimize the impact	A significant event which can be managed under normal circumstances	A critical event which, with proper management can be endured	A disaster with potential to lead to the collapse of P.I.C.L

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